**LIMITED PARTNERSHIP AGREEMENT**

**OF**

**HAREL FINANCE ALTERNATIVE HAMAGEN, L.P.**

(A Delaware Limited Partnership)

Dated _____, 2019

THE UNITS OF LIMITED PARTNERSHIP INTERESTS REPRESENTED BY THIS LIMITED PARTNERSHIP AGREEMENT HAVE NOT BEEN REGISTERED UNDER THE SECURITIES LAW(S) OF ANY JURISDICTION, AND ARE SUBJECT TO RESTRICTIONS ON TRANSFERABILITY AND RESALE AND MAY NOT BE TRANSFERRED OR RESOLD EXCEPT AS PERMITTED UNDER THE APPLICABLE SECURITIES LAWS. LIMITED PARTNERS SHOULD BE AWARE THAT THEY MAY BE REQUIRED TO BEAR THE RISKS OF THIS INVESTMENT FOR AN INDEFINITE PERIOD OF TIME.

HAREL FINANCE ALTERNATIVE HAMAGEN, L.P.

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**HAREL FINANCE ALTERNATIVE HAMAGEN, L.P.**
**LIMITED PARTNERSHIP AGREEMENT**

This Limited Partnership Agreement of Harel Finance Alternative Hamagen, L.P. (the "**Partnership"**), dated as of this ___ day of _____, 2019 (as may be amended or revised from time to time, this "**Agreement**"), is entered by and among Harel Finance Alternative Ltd., a company incorporated under the laws of the State of Israel, as the sole general partner (the "**General Partner**") and those Persons who execute a counterpart of this Agreement as limited partners (the "**Limited Partners**") pursuant to and in accordance with the Delaware Revised Uniform Limited Partnerships Act (6 Del. C. § 17), as amended from time to time (the "**Act"**). The General Partner and the Limited Partners are sometimes referred to herein collectively as the "**Partners**."

**WHEREAS**, the Partnership was formed as a limited partnership on September 11, 2019 by the filing of a certificate of limited partnership of the Partnership (the "**Certificate of Limited Partnership"**) with the Office of the Secretary of State of the State of Delaware and pursuant to an agreement between the Partners to form a limited partnership under the Act; and

**WHEREAS**, the Partners desire to enter into this agreement of limited partnership to reflect the terms of their entire agreement with respect to the subject matter hereof.

**NOW, THEREFORE**, in consideration of the mutual covenants, terms and conditions set forth herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties hereto agree as follows:

## ARTICLE 1 - DEFINITIONS

### 1.1 DEFINITIONS.

Capitalized terms used herein and not otherwise defined shall have the meanings set forth below (such meanings to be equally applicable to both singular and plural forms of the terms so defined). Additional defined terms are set forth in the provisions of this Agreement to which they relate.

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| **"Act"** | As set forth in the introductory paragraphs of this Agreement. |
| **"Administrator"** | Tzur Capital Management Ltd., or any alternative administrator appointed by the General Partner to provide administrative services on behalf of the Partnership. |
| **"Advisory Board"** | As set forth in Section 4.4. |
| **"AEOI"** | means (i) sections 1471 to 1474 of the Code and any associated legislation, regulations or guidance, and any other similar legislation, |

regulations or guidance enacted in any other jurisdiction which seeks to implement similar financial account information reporting and/or withholding tax regimes; (ii) the OECD Standard for Automatic Exchange of Financial Account Information in Tax Matters – the Common Reporting Standard and any associated guidance; (iii) any intergovernmental agreement, treaty, regulation, guidance, standard or other agreement between the State of Israel (or any Israeli government body) and any other jurisdiction (including any government bodies in such jurisdiction), entered into in order to comply with, facilitate, supplement or implement the legislation, regulations, guidance or standards described in sub-paragraphs (i) and (ii); and (iv) any legislation, regulations or guidance in Israel that give effect to the matters outlined in the preceding sub-paragraphs.

**"Affiliate"** With respect to the Person to which it refers, a Person that directly or indirectly through one or more intermediaries, Controls or is Controlled by, or is under common Control with, such subject Person. For this purpose, a Principal shall be deemed to be an Affiliate of the General Partner, but an Investment shall not be deemed an Affiliate of the Partnership, the General Partner or the Management Company solely as a result of an investment.

**"Agreement"** As set forth in the introductory paragraphs to this Agreement.

**"Anti-Money Laundering Laws"** As set forth in Section 4.2.2.1(a)(a)ii.

**"Business Day"** Any day other than Friday, Saturday and Sunday and any other day on which banks are authorized or required by law to be closed in Israel or in the U.S.

**"Calculation Date"** means the last date of a Calculation Period, and such other days as the General Partner may, in its absolute discretion, determine from time to time.

**"Calculation Period"** means any calendar quarter following the Initial Subscription Date.

**"Cause Event"** Either (i) the final non-appealable conviction by a court of competent jurisdiction of the General Partner or any Principal for fraud or embezzlement with respect to the Partnership which had a material adverse effect on the Partnership, or (ii) a final non-appealable verdict or judgment by a court of competent jurisdiction that the General Partner has willfully and materially breached this Agreement and committed willful misconduct in connection with the performance of its duties on behalf of the Partnership, and such breach has had a material adverse effect on the Partnership and/or Parallel Fund.

Notwithstanding the above, it is hereby agreed that, if the position of the individual responsible for the Cause Event has been terminated, there shall be no Cause Event.

**"Certificate of Limited Partnership"** As set forth in the introductory paragraphs to this Agreement.

**"Class A units"** Means Class A units of limited partnership interests of the Partnership, denominated in US Dollars, which class is on a regular distribution basis (i.e., participates in Partnership's distributions on a regular basis).

**"Class A-1 Units"** Means Class A-1 units of limited partnership interests of the Partnership, denominated in US Dollars, which class is on an accrual basis (i.e., distributions are accrued until the lapse of the Investment Period and are re-invested as additional Contributions until redemption).

**"Class B units"** Means Class B units of limited partnership interests of the Partnership, denominated in NIS, which class is on a regular distribution basis (i.e., participates in Partnership's distributions on a regular basis).

**"Class B-1 Units"** Means Class B-1 units of limited partnership interests of the Partnership, denominated in NIS, which class is on an accrual basis (i.e., distributions are accrued until the lapse of the Investment Period and are re-invested as additional Contribution until redemption).

**"Code"** The United States Internal Revenue Code of 1986, as amended from time to time, or any successor statute thereto.

**"Contribution"** With respect to any Partner at any time, the aggregate amount of contributions made to the Partnership by such Partner (including, in the case of the General Partner, any contributions deemed to have been made pursuant to Sections **שגיאה! מקור ההפניה לא נמצא.**, 7.1.2 and 7.1.3).

**"Control"** The possession, directly or indirectly, of (i) the right or power to direct, or cause the direction of, the management and policies, whether through the ownership of voting securities, by contract or otherwise, or (ii) the beneficial ownership of a majority of the voting interests.

**"Cost"** With respect to each Investment, the purchase price of the Investment and any amounts paid or undertaken to be paid by the Partnership, directly or indirectly, with respect to such Investment, including without limitation any follow on investments and out-of-pocket expenses relating to such Investment.

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| **“Covered Person”** | As set forth in Section 13.1.1. |
| **“Fee Adjustment”** | As set forth in Section **שגיאה! מקור ההפניה לא נמצא.**. |
| “**Fees Subject to Offset**” | As set forth in Section 6.2.4.4. |
| **“Fund”** | As set forth in Section 2.4.1. |
| **"Fund Investors"** | As set forth in Section 2.4.1. |
| **“General Partner”** | The entity named as General Partner in the introductory paragraphs of this Agreement, and any successor General Partner. |
| **"GP Contribution"** | As set forth in Section 7.1.2. |
| **“Indemnitee”** | As set forth in Section 13.2.1. |
| **“Initiation Fee”** | As set forth in Section 6.3. |
| **“Initial Subscription Date”** | The first Business Day in a respective calendar quarter following the date on which the General Partner determines that the Fund has sufficient funds in requested subscriptions in order to commence Investments and not prior to the date on which there is a minimum of US $ 10 million in subscription funds indicated by prospective investors in their Subscription Booklet, or such other date or amount as determined by the General Partner. |
| **“Interest”** | means an interest or interests in the capital, profits and losses of the Partnership. The Interest shall be divided into, and represented by, units of limited partnership interests. |
| **“Investment”** | As set forth in Section 2.2. |
| **“Investment Period”** | As set forth in Section 5.2. |
| **"Investment Subsidiary"** | Any vehicle(s) through which the Partnership will consummate its Investments. |
| **“Limited Partners”** | As set forth in the introductory paragraphs of this Agreement. |
| **“List of Partners”** | The list, maintained by the General Partner, setting forth the names, addresses, facsimile numbers, electronic mail addresses and Contributions of the Partners. |
| "**Lock-Up Period**" | Means, with respect to each Unit purchased by a Partner, a period, commencing on the respective Subscription Date on which such Unit |

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| | was purchased by the respective Partner, and ending 12 months following such date, unless otherwise determined by the General Partner, in its sole and absolute discretion. |
| **“Majority-in-Interest”** | Limited Partners whose aggregate Contributions exceed 50% of the aggregate Contributions, on a cumulative basis, but excluding, for all purposes hereof: (i) any Defaulting Partners, each of which may not participate in any vote, and each of whose Contribution shall be disregarded for this purpose; and (ii) any Partners holding Non-Voting Interests whose Contributions shall be disregarded for this purpose. |
| **“Management Company”** | As set forth in Section 2.3.2. |
| **“Management Fee”** | As set forth in Section 6.2.4. |
| **"NAV"** | Means the net asset value attributable to the Partnership, as at any date of determination, calculated in accordance with the provisions of Section Section 15.3.2. |
| **"NAV of a Partner"** | Means the NAV per Unit of all relevant classes held by such Partner multiplied by the number of the respective Units of each such classes held by such Partner. |
| **"NAV per Unit"** | Means the NAV attributable to each Unit of a class, calculated in accordance with the provisions of Section 15.3.3. |
| **“Organizational Expenses”** | All expenses attributable to the organization of the Fund and any Alternative Investment Vehicle, the General Partner and the Management Company (if formed), and the sale of Units in the Fund (including without limitation legal, travel, accounting and capital raising (including placement agents fees)). |
| **“Parallel Fund”** | As set forth in Section 2.4.1. |
| **"Parking Account"** | a transit account in which Subscription monies will be held until the admittance of the relevant investor/potential investor as Limited Partner to the Partnership. Subscription monies held in such Parking Account shall not confer on the subscribers any rights in the Partnership including without limitation rights for distribution and shall not entitle such subscribers to any interest on such amounts, provided that the subscription monies shall not be held in such Parking Account for more than 90 days. Any interest earned on subscription proceeds prior to the relevant Subscription Date will be credited to the Partnership. |

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| **“Partners”** | As set forth in the introductory paragraphs of this Agreement. |
| **“Partner Account”** | As set forth in Section 9.1. |
| **“Partnership”** | As set forth in the introductory paragraphs of this Agreement. |
| **“Partnership Expenses”** | As set forth in Section 6.2.1. |
| **“Partnership Information”** | As set forth in Section 15.8.6. |
| **“Performance Fee”** | As set forth in Section **שגיאה! מקור ההפניה לא נמצא.**. |
| **“Performance Fee Distributions”** | As set forth in Section **שגיאה! מקור ההפניה לא נמצא.**. |
| **“Principal”** | Any individual designated as such by the General Partner, and initially Messrs. Gabi Moshayev and Uri Schur, for so long as each of such Persons serves as a senior investment professional working for the General Partner or an Affiliate thereof, while such Person continues to serve in such capacity. |
| "**Redemption Day/Date**" | June 30 and December 31 of each calendar year following the Lock-Up Period. |
| **“Related Entities”** | (1) the Management Company (if formed) and any other entity engaged in performing services for the Partnership or, at the Partnership’s request, for any Investment; and (3) any Parallel Fund, Investment Subsidiary, prior funds, successor funds and/or co-investment vehicle. |
| **“Subscription Booklet”** | As set forth in Section 4.1.2. |
| **"Subscription Date or “Investment Date”"** | Unless otherwise determined by the General Partner in its sole discretion, an accepted Investor may become a Limited Partner only on the Initial Subscription Date and, thereafter, on a quarterly basis until the lapse of the Investment Period, on the first Business Day following the end of the Calculation Period preceded such Business Day. The General Partner may suspend or terminate the offering at any time and from time to time and without notice. On a Subscription Date, prospective Partners whose Subscription Booklet and subscription funds have been duly executed and received and then accepted by the General Partner will be admitted as Limited Partners in the Partnership. |
| **“Tax Distribution”** | As set forth in Section 8.3. |

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| **"Tax Liability"** | As set forth in Section 15.7.1. |
| **"Tax Reporting Information"** | As set forth in Section 15.7.4 |
| **"Tax Reporting Liabilities"** | As set forth in Section 15.7.5 |
| **"Tax Reporting Obligations"** | As set forth in Section 15.7.4 |
| **"Third Party Indemnifiers"** | Any Person (other than the Partnership, a Parallel Fund, the General Partner, the Management Company (if formed) and the general partner of a Parallel Fund) that is legally or contractually obligated to make indemnification payments (or equivalent payments pursuant to a similar arrangement) with respect to an Indemnitee, in accordance with Section 13.2 of this Agreement. |
| **"Transfer"** | As set forth in Section 12.1. |
| **"Transfer Expenses"** | As set forth in Section 12.2.5. |
| **"Units"** | Mean Class A Units, Class A-1 Units, Class B Units, Class B-1 Units and any other classes of units of limited partnership interests of the Partnership from time to time designated and issued. |
| **"US$ or $"** | The lawful currency of the United States of America. |
| "**Winding up Event**" | As set forth in Section 10.2.1. |

## ARTICLE 2 - ORGANIZATION; POWERS; MANAGEMENT

### 2.1 NAME; OFFICES.

2.1.1 The name of the Partnership is "Harel Finance Alternative Hamagen, L.P.". The name of the Partnership may be changed at any time by the General Partner without the consent or approval of the Limited Partners, provided that the General Partner shall provide notice thereof to the Limited Partners.

2.1.2 The principal offices of the Partnership shall be located at M.E.H Building, 12 Hachilazon Street, Ramat Gan 5252276, Israel.

2.1.3 The registered agent of the Partnership for service of process in the State of Delaware and the registered office of the Partnership in the State of Delaware shall be that Person and location reflected in the Certificate of Limited Partnership. In the event that the registered agent ceases to act as such for any reason or the registered office shall change, the General Partner

shall promptly designate a replacement registered agent or file a notice of change of address, as the case may be, in the manner provided by applicable law. The General Partner, in its sole discretion, may cause the Partnership to open additional offices.

**2.2 PURPOSE; POWERS.**

2.2.1 The principal purpose of the Partnership is to mutually acquire interests in entities engaged in financing and/or refinancing, indirectly, real estate assets in the united states, where such entities shall be held together with a set number of local partners ("**Investment Subsidiaries**"), and to enjoy from the proceeds to be generated from such Investment Subsidiaries, and from the holding and disposing of such Investment Subsidiaries, if applicable. The Investment Subsidiaries will make loans, including, without limitation, bridge loans and other financing arrangements, for the acquisition, development, selling, exchanging, constructing, improving, subdividing, mortgaging, leasing, maintaining, transferring, operating (including operating own as an investment), and/or otherwise engage in all general business activities related or incidental to the ownership and development of real estate assets in the United States, focusing primarily on income-producing real estate assets in the United States such as multifamily residential properties, office buildings and logistic centers in the United States (each such investment hereby is defined as "**Investment**").

2.2.2 Notwithstanding the foregoing and subject to the provisions of this Agreement, the Partnership shall have the power and authority to do any and all acts necessary or appropriate to or in furtherance of the purpose described in this Section 2.2, including all power and authority, statutory or otherwise, possessed by, or which may be conferred upon, limited partnerships under the laws of the State of Delaware.

2.2.3 The Partnership shall not take, or omit to take, any action which, in the judgment of the General Partner, in its sole and absolute discretion, could violate any law or regulation of any governmental body or agency having jurisdiction over the Partnership or its securities, unless any such action (or inaction) shall have been specifically consented to by the Partners in writing.

**2.3 MANAGEMENT AND CONTROL OF THE PARTNERSHIP**

2.3.1 **Management of the Partnership.**

(a) The management and control of the Partnership shall be vested in the General Partner, which management and control will be delegated from time to time to certain boards, committees and individual managers, as shall be administered and commissioned by the General Partner. Except as otherwise explicitly provided herein, the General Partner shall have the power on behalf and in the name of the Partnership to implement the objectives of the Partnership and to exercise any rights and powers the Partnership may possess, including, without limitation, the power to cause the Partnership to make any elections available to the Partnership under applicable tax or other laws and to take any actions relating to taxes and will possess and enjoy all the rights and powers of a general partner as provided by the Act. No Person, in dealing with the General Partner, shall be required to determine and assert the General Partner's authority to make

any commitment or engage in any undertaking on behalf of the Partnership, or to determine any fact or circumstance bearing upon the existence of the authority of the General Partner.

(b) The General Partner shall cause, from time to time, to be filed, amended, recorded and published, such statements, notices, certificates or other instruments as the General Partner, in its sole discretion, determines to be necessary, advisable and required in connection with the formation of the Partnership, the conduct of its business, dissolution, winding-up or termination of the Partnership, in each case pursuant to any applicable law or otherwise to give effect to the terms of this Agreement.

2.3.2 **Management Company**

The General Partner may at its own cost and expense and from time to time, delegate to a Person or Persons Affiliated with the General Partner (the "**Management Company**") any management or administrative responsibilities of the General Partner under this Agreement; *provided*, *however*, that the General Partner shall not delegate to the Management Company the authority to select investment opportunities or to make investment-related decisions on behalf of the Partnership, and the Management Company shall not have the authority to act in the name of, or bind the Partnership. Any such delegation shall not relieve the General Partner of its own duties and obligations to the Partnership as set forth in this Agreement.

## 2.4 INVESTMENT STRUCTURE

2.4.1 **Parallel Fund.**

(a) Prior to the Initial Subscription Date the General Partner may form one or more limited partnerships or other investment vehicles or investment advisory programs to invest in parallel with the Partnership (each, a "**Parallel Fund**") in order to comply with securities laws or to address tax, legal, regulatory or other issues of investors in such entity or program. The governing documents of each Parallel Fund will be substantially the same as this Agreement, except to the extent necessary to address the tax, legal, regulatory or similar issues of the investors in such entity or program, and such governing documents shall be kept with the Partnership's records. The Partnership and any Parallel Fund, if organized, are collectively referred to herein as the "**Fund**." The Limited Partners of the Partnership and the limited partners or equivalent non-manager participants in any Parallel Fund are sometimes collectively referred to herein as the "**Fund Investors**"

(b) Except (i) where restricted or prohibited by law, rule, regulation or other applicable restriction, or (ii) where the potential returns to investors in the Partnership or a Parallel Fund would be unattractive due to tax, legal, regulatory or other considerations, a Parallel Fund shall invest in every investment made by the Partnership at the same time and on substantially the same terms as the Partnership. Subject to the foregoing, Investments shall be allocated between and among the Partnership and any Parallel Funds in proportion to the capital of each entity available for investment, to the extent practicable. The Partnership and any Parallel Fund shall dispose of their investments at the same time, on substantially the same terms, and in the same relative amounts, to the extent practicable. The Partnership and any Parallel Fund shall share

common fees and expenses related to Investments in proportion to the capital invested by each entity in such Investment, to the extent practicable.

2.4.2 **Co-Investment Opportunities**

The General Partner may (but is not obligated to), in its sole discretion, offer to one or more Limited Partners, or to other third parties, the opportunity to co-invest in certain investment opportunities with the Partnership or any Investment Subsidiary. The General Partner or its designated Affiliate shall be entitled to receive management fees, acquisition fees, carried interest or other compensation in connection with any such co-investment. The General Partner may organize one or more limited partnerships or other investment vehicles to facilitate such co-investment opportunities. Each Limited Partner, if any, participating in a co-investment opportunity shall bear its proportionate share of the expenses associated with the making of such co-investment, including any expenses associated with the organization and operation of any such partnership or vehicle.

### 2.5 ALTERNATIVE INVESTMENT VEHICLES

In addition to Section 2.4, if the General Partner determines, in connection with any investment or all investments and in its sole discretion, that for legal, tax or regulatory reasons it is advisable that an investment or investments shall not be made through the Partnership or not directly through the Partnership, the General Partner shall be authorized, to establish an alternative legal entity for that purpose, through which the Partnership itself and/or some or all of the Limited Partners shall make Contributions, instead of or in parallel to the Partnership (each, an "**Alternative Investment Vehicle**"). The General Partner or an Affiliate thereof shall serve as the manager of the Alternative Investment Vehicle, the liability of the Limited Partners shall be limited, and the terms and conditions of such Alternative Investment Vehicle shall be adjusted so as to be substantially the same in all material respects as those of the Partnership provided, however, that (a) such terms and conditions may vary to address the tax, legal or regulatory concerns that led to the formation of such Alternative Investment Vehicle, and (b) provisions in the organizational documents of the Alternative Investment Vehicle and the corresponding provisions of this Agreement (including provisions relating to allocations and distributions of profits and losses and the General Partner's obligation to return certain amounts to the Partnership upon liquidation) shall be consistent and, if necessary, modified to carry out the purpose and intent of this Agreement. Moreover, to the extent that the General Partner shall elect that all investments of the Partnership be made through one Alternative Investment Vehicle, the General Partner may contractually agree with such Alternative Investment Vehicle that the Partnership's liabilities towards the General Partner, or any of them, shall be paid by such Alternative Investment Vehicle in lieu of a direct liability of the Partnership pursuant to this Agreement.

## ARTICLE 3 – CAPITAL

### 3.1 ISSUE OF UNITS AND PARTNERS' ACCOUNTS

3.1.1 The Interest of Limited Partners in the Partnership shall be divided into Units which may be issued in different classes and series of classes, and with such rights and obligations

as set out in this Agreement. The General Partner may authorize the creation and issuance of any Units in additional classes and/or series with such rights and obligations as it may determine.

3.1.2 As the classes of Units of the Partnership are denominated in different currencies, in the interests of seeking protection of a Limited Partner's investment, the Partnership will offer the Class B Unit and Class B-1 Units holders (NIS Class) foreign currency hedging protection, to be carried out by an Affiliate of the General Partner, by engaging in foreign exchange hedging transactions for such class of Units (where the profits, gains and losses, costs, income and expenditure consequent upon such hedging transactions will be allocated to the relevant class of Units). Any Limited Partner, who elected to hedge its Class B Units (NIS Class), will incur an annual hedging expenses at cost plus 0.2% in respect of such Limited Partner's actual Contribution in respect of such Class B and Class B-1 Units (including with respect to the cost of capital allocation required for the sureties). At the end of each year, each Limited Partner who elected to hedge its investment shall be entitled to notify the General Partner, in writing, at least 14 Business Days prior to the end of the relevant calendar year whether such Limited Partner would like to continue to hedge its Class B or Class B-1 Units through the Fund and in such case the hedging expenses will continue to be credited towards the Partner Account maintained in the name of such Partner.

### 3.2 RIGHTS OF PARTNERS IN CAPITAL.

3.2.1 No Partner shall be entitled to earn interest on its Contributions to the capital of the Partnership.

3.2.2 No Partner shall have the right to any return of any Contribution to the capital of the Partnership, except (i) upon Redemption of Units pursuant to Section 7.5, or (ii) upon the winding up of the Partnership pursuant to Section 10.2. The General Partner shall not be liable for the return of any such amounts.

### 3.3 RESERVES; ADJUSTMENTS FOR CERTAIN FUTURE EVENTS.

3.3.1 Appropriate reserves may be created, accrued and utilized by the Partnership, for anticipated and contingent liabilities (including taxes), if any, as of the date any such anticipated or contingent liability becomes known to the General Partner, such reserves to be in the amounts which the General Partner in its reasonable discretion deems necessary or appropriate. The General Partner may increase or reduce any such reserve from time to time by such amounts as the General Partner in its reasonable discretion deems necessary or appropriate. The amount of any such reserve, or any increase or decrease therein, shall be proportionately charged or credited, as appropriate, to those parties who are Partners at the time when such reserve is created, increased, or decreased, as the case may be, other than if the General Partner, at its sole discretion believes that such reserve, or any portion thereof, shall be treated as applicable to one or more prior periods. If so determined by the General Partner, then such amount shall be proportionately charged or credited, as appropriate, among those parties who were Partners during such prior period or periods.

3.3.2 If any amount is required by Section 3.3.1 to be charged or credited to a party who is no longer a Partner, such amount shall be paid by or to such party, as the case may be, in cash, with interest from the date on which the General Partner determines that such charge or credit is required at the then applicable stated 1 month LIBOR rate (the "**Applicable Interest**"). In the case of a charge, the former Partner shall be obligated to pay the amount of the charge, plus the Applicable Interest as provided above, to the Partnership on demand; provided that (i) in no event shall a former Partner be obligated to make a payment exceeding an amount equal to the NAV of a Partner of such a former Partner at the time to which the charge relates, and (ii) no such demand shall be made beyond the date which is 4 years after the effective date of such former Partner's Redemption from the Partnership. However, the deficiency shall be charged proportionately to the NAV of a Partner of each of the current Partners to the extent the Partnership fails to collect, in full, any amount required to be charged to such former Partner pursuant to Section 3.3.1, whether due to the expiration of the applicable limitation period or for any other reason whatsoever.

## ARTICLE 4 - PARTNERS

### 4.1 PARTNERS.

4.1.1 **List of Partners**

The name, address, facsimile number, electronic mail address amount of Contributions and ownership percentage of each Partner are set forth in the List of Partners. The General Partner shall cause the List of Partners to be revised, without the necessity of obtaining the consent of any other Partner, to reflect any changes in the identity, addresses, facsimile numbers, electronic mail addresses or Contributions of the Partners occurring pursuant to the terms of this Agreement. Each Partner shall promptly provide the Partnership with the information required to be set forth for such Partner on the List of Partners and shall thereafter promptly notify the Partnership of any change to such information.

4.1.2 **Limited Liability.**

No Limited Partner, in its capacity as such, shall be liable for the debts and obligations of the Partnership so long as such Limited Partner does not take part in the conduct of the business of the Partnership; *provided*, *however*, that each Limited Partner shall be required to pay to the Partnership (a) any unpaid Contributions that such Limited Partner has agreed to make to the Partnership pursuant to Article 7; (b) the amount of any distribution that such Limited Partner may be required to return to the Partnership pursuant to this Agreement and/or the Act; and (c) the unpaid balance of any other payments that such Limited Partner is expressly required to make to the Partnership pursuant to this Agreement, including, without limitation, under Section 7.6.1, or pursuant to such Limited Partner's subscription agreement, deed of adherence, accession agreement, transfer agreement, or other agreement pursuant to which such Limited Partner agreed to acquire a Units in the Partnership and to become a party to this Agreement (any such agreement, a "**Subscription Booklet**").

4.1.3 **Effect of Death, Dissolution or Bankruptcy.**

Upon the death, incompetence, bankruptcy, insolvency, liquidation or dissolution of a Limited Partner, the rights and obligations of such Limited Partner under this Agreement shall, if mandated by applicable law, inure to the benefit of, and shall be binding upon, such Limited Partner's successor(s), estate or legal representative, and each such Person shall be treated as an assignee of such Limited Partner's interest for purposes of Article 12 until such time as such Person may be admitted as a Partner pursuant to that Article.

4.1.4 **No Control of Partnership.**

Except as otherwise provided herein or by virtue of the Act, no Limited Partner shall have the right or power to: (a) withdraw or reduce its Contribution to the capital of the Partnership to the Partnership; (b) cause the winding up and dissolution of the Partnership; or (c) demand or receive property in return for its Contributions. No Limited Partner, in its capacity as such, shall take any part in the conduct of the business of the Partnership, undertake any transactions on behalf of the Partnership, or have any power to sign for or otherwise to bind the Partnership.

**4.2 LIMITED PARTNERS.**

4.2.1 **Accession to Agreement.**

Each Person who is admitted as Limited Partner pursuant to this Agreement shall accede to this Agreement by executing (through a power of attorney or otherwise), together with the General Partner (for itself and as attorney for the other Partners), a counterpart signature page to this Agreement or the Subscription Booklet or such other document requested by the General Partner with respect to such admission, which admission shall not require the consent or approval of any other Partner. The General Partner shall make any necessary filings with the appropriate governmental authorities and take such actions as are necessary under applicable law to effectuate such admission.

4.2.2 **Anti-Money Laundering Provisions.**

The Limited Partners acknowledge that the Partnership, the General Partner and its Affiliates may be subject to certain anti-money laundering laws and related pronouncements and may otherwise be prohibited from engaging in transactions with, or providing services to, certain foreign countries, territories, entities and individuals, including without limitation, specially designated nationals, specially designated narcotics traffickers and other parties subject to government sanctions and embargo programs. In furtherance of the foregoing:

4.2.2.1 Each Limited Partner hereby agrees to ensure that*:*

i. None of the monies that such Limited Partner will contribute to the Partnership shall be derived from, or related to, any activity that is deemed criminal under the laws of any applicable jurisdiction;

ii. No Contribution or payment by such Limited Partner to the Partnership, to the extent that such Contribution or payment is within such Limited Partner's control, and no distribution to such Limited Partner (assuming such distribution is made in accordance with instructions provided to the General Partner by such Limited Partner) shall cause the Partnership, the Management Company (if formed), the General Partner or any Principal to be in violation the Israeli Money Laundering Prohibition Law of 2000, the Israeli Combat with Criminal Organizations Law of 2003, the Israeli Terror Financing Prohibition Law of 2005, the Bank of Israel Law of 2010, or any other anti-money laundering law, bank secrecy or other similar laws or regulations of Israel or of any other applicable jurisdiction, in each case as amended and any successor statute thereto and including all regulations promulgated thereunder (collectively, "**Anti-Money Laundering Laws**"); and

iii. It is in compliance with all applicable anti-money laundering and anti-terrorism laws, regulations, rules, executive orders and government guidance, including the reporting, record keeping and compliance requirements of the Bank Secrecy Act, as amended by The International Money Laundering Abatement and Financial Anti-Terrorism Act of 2001, Title III of the USA PATRIOT Act, and other authorizing statutes, executive orders and regulations administered by the Office of Foreign Assets Control, and related Securities and Exchange Commission, SRO or other agency rules and regulations, and where applicable has policies, procedures, internal controls and systems that are reasonably designed to ensure such compliance.

4.2.2.2 Each Limited Partner:

i. shall promptly notify the General Partner if, to the knowledge of such Limited Partner, such Limited Partner is not in compliance with this Section 4.2.2;

ii. shall provide the General Partner, promptly upon receipt of the General Partner's written request therefor, any additional information regarding such Limited Partner or its beneficial owner(s) that the General Partner deems necessary or advisable in order to ensure compliance with any Anti-Money Laundering Laws or all applicable laws, regulations and administrative pronouncements concerning other criminal activities; and

iii. understands and agrees that if, at any time, the requirements of this Section 4.2.2.2 are not satisfied, or if otherwise required by any Anti-Money Laundering Laws or any applicable law or regulation related to other criminal activities, the General Partner may take appropriate actions to ensure that the Partnership and the General Partner are in compliance with all such applicable laws, regulations and pronouncements.

4.2.2.3 Each Limited Partner acknowledges and agrees that:

i. the Partnership or General Partner may transfer any information regarding such Limited Partner and, if required, any of its beneficial owners, to any governmental authorities, if the General Partner, in its sole discretion, determines that releasing

such information is in the best interest of the Partnership in light of any regulations or administrative pronouncements promulgated under the Anti-Money Laundering Laws or similar laws, and

ii. the General Partner, without the consent of any Limited Partner and notwithstanding any other provision of this Agreement, may amend any provision of this Agreement in order to effectuate the intent of this Section 4.2.2.

### 4.3 TIME COMMITMENTS; ALLOCATION OF INVESTMENT OPPORTUNITIES; OTHER ACTIVITIES; CONFLICTS OF INTEREST.

4.3.1 **Obligation to Devote Business Time to the Partnership.**

Throughout the term of the Partnership, Mr. Gabi Moshayev and Mr. Uri Schur will devote such time to the management of the affairs of the Fund and the Related Entities as may be reasonably necessary for such purpose. Subject to the foregoing, the Principals will continue to be actively involved in the businesses and management of Harel Finance Holdings Ltd. and any of its Affiliates, including, without limitation, other partnerships managed by the General Partner.

4.3.2 **Investment Opportunities.**

4.3.2.1 Throughout the Investment Period, the General Partner and the Principals will make available to the Fund all investment opportunities identified by them that may reasonably be suitable for the Fund, in light of the Fund's investment restrictions, available capital and such other relevant factors, other than follow-on investments which were made by them prior to the Initial Subscription Date. Notwithstanding the above, it is hereby acknowledged that the General Partner and the Principals may be obligated to allocate investment opportunities to Harel Finance Holdings Ltd. and/or Affiliates thereof, which, as of the date hereof, are not within the investment objective of the Fund.

4.3.2.2 During the Investment Period, neither the General Partner nor any of the Principals, directly or indirectly, shall make any investment or be involved in any form in an investment that may be an appropriate investment for the Partnership, unless otherwise approved by the Advisory Board.

4.3.2.3 Nothing herein shall preclude any Affiliate of the General Partner or its controlling shareholders from engaging in any business, including the formation of other investment vehicle(s) for the purpose of making investments, similar or not to those of the Fund.

4.3.3 **Other Activities of Partners.**

Subject to Section 4.3.1 and the other provisions of this Agreement, any Partner, including, for the avoidance of doubt, the General Partner, and its respective partners, members, stockholders, officers, directors, managers, trustees, employees, agents and Affiliates may invest, participate, or engage in (for their own accounts or for the accounts of others), or possess an interest in, other financial ventures and/or investments, including for the avoidance of doubt in real estate

investments or related investments, professional, civic and political activities of every kind, nature and description, independently or with others, including but not limited to management of other investment partnerships; investment in, financing, acquisition or disposition of securities; investment and management counseling; providing brokerage and investment banking services; or serving as officers, directors, managers, consultants, advisers or agents of other companies, partners of any partnership, members of any limited liability company or trustees of any trust (and may receive fees, commissions, remuneration or reimbursement of expenses in connection with these activities), whether or not such activities may conflict with any interest of the Partnership or any of the Partners. Without derogating from the forgoing, the General Partner and the Principals shall be permitted to receive fees, commissions and other compensation from entities, other than the Partnership, including without limitation, director's fees, consulting fees, commitment fees, investment banking fees, transaction fees, monitoring fees, break-up fees, asset management fees, initiation fees, promotion fees and success fees or other remuneration (including any options, warrants or other equity securities and reimbursement of expenses) for services rendered by such Persons. Neither the Partnership nor any Partner shall have any rights, solely by virtue of this Agreement, in or to any activities permitted by this Section 4.3.3 or to any fees, income, profits or goodwill derived from such activities. The fees may be charged to companies, which are held by the partnership, to which the services will be provided

4.3.4 **Conflicts of Interest**

In any case where the General Partner believes that there is or may be a conflict of interest between or among the General Partner and/or any Principal on the one hand and the Partnership on the other hand, the General Partner shall address such a conflict with the Advisory Board and may present a solution, after considering the relative interests of each party (including its own interest, the interest of the Partnership and the interest of each other entity) and any customary or accepted industry practices and generally accepted accounting practices. If the solution presented is approved by the Advisory Board such solution shall be documented and shall be binding on the Partnership and the General Partner, unless the General Partner resolves to withdraw from the transaction / action which is the subject of the conflict of interest.

**4.4 ADVISORY BOARD.**

4.4.1 **Appointment; Removal**

The General Partner will form a committee (the "**Advisory Board**"), which shall comprise exclusively of Fund Investors (or designated representatives thereof) who are not any of the Principals or Affiliates of the General Partner or the Principals, who shall be appointed by the General Partner and may be removed or replaced by the General Partner. If one or more Parallel Funds have been formed, then the same Advisory Board shall serve as the Advisory Board for the Fund and, to the extent feasible and appropriate, shall make decisions with respect to all such entities on a joint and consistent basis.

4.4.2 **Duties.**

The duties of the Advisory Board (or its sub-committees if applicable) shall be to:

4.4.2.1 Review and advise the General Partner regarding potential conflicts of interest submitted to the Advisory Board by the General Partner or regarding such other matters as the General Partner may determine appropriate; and

4.4.2.2 Undertake such other duties as are required by this Agreement or reasonably requested by the General Partner; and

4.4.2.3 Approve changes in the Fund's investment restrictions set forth in Section 5.1 below.

Neither the Advisory Board nor any member thereof (acting in such capacity) shall undertake any action on behalf of the Partnership or possess the power to bind the Partnership or possess any authority to act for the Partnership or on its behalf.

4.4.3 **Reimbursement of Expenses.**

Members of the Advisory Board shall receive from the Partnership reimbursement for any reasonable out of pocket travel expenses incurred in connection with their attendance at meetings of the Advisory Board, but shall receive compensation from the Partnership in connection with their duties as members of the Advisory Board.

4.4.4 **Voting; Adoption of Rules and Procedures.**

The Advisory Board will convene from time to time, at the request of the General Partner, and such meetings may be in person, by telephone or by any other electronic medium. All decisions and other actions taken by the Advisory Board shall be submitted in writing to all members of the Advisory Board and, except as otherwise provided in this Agreement, shall be authorized by a majority in number of the Advisory Board members; *provided* that any decision or other action to be taken by the Advisory Board under this Agreement may instead, at the option of the General Partner, be taken by the Partners themselves by a Majority-in-Interest of the Fund Investors. Any decisions or other action required or permitted to be taken by the Advisory Board may be taken by written consent signed by not less than the number of members of the Advisory Board which is required to take such decision or other action. The General Partner may adopt other rules and procedures, not inconsistent with this Agreement, relating to the conduct of the Advisory Board's affairs, provided that such rules and procedures shall be subject to the approval of the Advisory Board.

## ARTICLE 5 - INVESTMENTS AND ACTIVITIES

### 5.1 INVESTMENT RESTRICTIONS.

Without the prior approval of the Advisory Board, the Partnership shall not invest or allocate: (i) more than 30% of the aggregate Contributions to the Investment Subsidiaries for financing of construction projects, not including bridge loans or other loans already indirectly financed by the Fund and converted into construction loans, (ii) more than 35% of the aggregate Contributions to the Investment Subsidiaries for extension of mezzanine loans or other financing

arrangements, and provided that in any such transaction the LTV in respect of each such financing shall not exceed 75%, (iii) more than 15% of the aggregate Contributions to any Investment Subsidiary to extend finance to any single borrower, whether in a single transaction or a series of transactions, (iv) more than 65% of the aggregate Contributions to the Investment Subsidiaries to extend senior loans and provided that in such transactions the LTV in respect of each loan shall not exceed 65%, or 70%, to the extent approved by the investment committee of the General Partner(v) more than US$ 10,000,000 to an Investment Subsidiary in respect of a single loan or other financing arrangement, or US$ 15,000,000 to the extent approved by the investment committee of the General Partner. In any event, the Fund shall set aside, at all times, a reserve of at least 2.5% of the Contributions for payment to withdrawing Investors ("**Reserve**").

It is hereby clarified that the above percentages of the Investment Restrictions shall be calculated on a basis of Capital Contribution of at least US $ 100,000,000 and therefore prior to achieving aggregate Capital Contribution of US $100,000,000 such percentages may vary.

### 5.2 INVESTMENT PERIOD.

Subject to extension in accordance with this Section 5.2, the period commencing upon the Initial Subscription Date and ending on the fourth anniversary of the Initial Subscription Date, shall be referred to herein as the "**Investment Period**". The Investment Period may be terminated earlier if so determined by the General Partner, in its sole discretion. After the expiration of the Investment Period, the General Partner shall not cause the Partnership to fund Investments, *other than*: (a) Investments as to which, prior to the expiration of the Investment Period, the Partnership has entered into a letter of intent or a term sheet setting forth the material terms and conditions of such Investment; *provided that* the Partnership makes an initial investment in such prospective Investment within 9 months of the expiration of the Investment Period; (b) Follow-on investments in existing Investment entities or their successors; or (c) any other Investment not described in (a) and (b) above, if the Advisory Board approves such Investment.

### 5.3 BORROWING.

The Partnership may borrow money on a short term basis for up to 180 days to satisfy working capital needs of the Partnership and bridge drawdown notices, in an aggregate amount outstanding at any time not exceeding 70% of the aggregate Commitments of all Partners. Nothing herein shall preclude the Investment Subsidiaries from obtaining external finance subject to the investment restrictions set forth above.

### 5.4 REINVESTMENT.

Notwithstanding the above, subject to the Partnership's purpose as set out under Section 2.2, during the Investment Period and thereafter, the General Partner may cause the Partnership to refrain from repaying or distributing proceeds received by it in connection with Investments or from any other sources and reinvest such proceeds or use such proceeds for distributions and recall such funds (according to Section 7.1.2) for the purpose of reinvesting such proceeds (subject to limitations on funding new Investments after the expiration of the Investment

Period, as set forth in Section 5.2), paying Partnership Expenses, or making reserves for future Partnership Expenses.

## ARTICLE 6 – FEES AND EXPENSES

### 6.1 ORGANIZATIONAL EXPENSES.

The Partnership, or the Alternative Investment Vehicle, shall reimburse the General Partner and its Affiliates for all Organizational Expenses incurred by any of them, up to a maximum aggregate amount equal to 1% of the aggregate Contributions of the Fund, plus VAT, if applicable. Organizational Expenses in excess of the said limitation shall be borne by the General Partner through a reduction of the Management Fee otherwise payable to the General Partner pursuant to Section 6.2.2, if available, or otherwise returned to the Partnership by the General Partner. If any Parallel Fund will be formed, such Parallel Funs shall bear its pro-rata share in the Organizational Expenses, based on its share in the aggregate Contributions to the Fund. Such Organizational Expenses shall be allocated throughout the term of the Partnership (i.e., on an annual basis). The Organizational Expenses will include, among others, costs which associated with recruiting and maintaining relationship with prospective investors.

### 6.2 PARTNERSHIP EXPENSES; MANAGEMENT FEE; INITIATION FEE AND OTHER FEES.

#### 6.2.1 **Payment of Expenses.**

Subject to Section 6.2.2, the Partnership agrees to assume and pay all ordinary and extra-ordinary administrative, operating and other expenses attributable to the Partnership's activities, including expenses of the Alternative Investment Vehicle (collectively, "**Partnership Expenses**") on the terms and conditions herein set forth. The General Partner may elect that such expenses shall be borne by an Alternative Investment Vehicle in lieu of the Partnership.

#### 6.2.2 **General Partner expenses.**

The General Partner or its Affiliates shall bear only the following expenses: compensation and expenses of the employees of the General Partner or the Management Company (as applicable), including salaries of the partners of the General Partner in their capacity as employees of the Management Company (if any) and office space and facilities, utilities and telephone.

#### 6.2.3 **Partnership expenses.**

Partnership Expenses borne by the Partnership or an Alternative Investment Vehicle, shall include, without limitation (i) Organizational Expenses (in accordance with, and subject to the limitations set forth in, Section 5.1 above), (ii) Management Fees and Initiation Fees, (iii) all fees, costs and expenses related to investigating, analyzing, purchasing, acquiring,

developing, negotiating, structuring and restructuring, financing, holding, managing, sale or other disposing of Investments (including potential Investments and potential dispositions, whether the transaction was consummated or not), including legal, technical and accounting due diligence, legal, auditing, accounting, finder's fees and similar commissions, travel expenses, brokerage fees, investment and commercial banking fees, underwriting and escrow fees, consulting, custody, transfer, registration, interest, property and asset management fees and other similar fees or expenses related thereto and including expenses related to organizing Parallel Funds for the purpose of facilitating the Funds' investments activities, (iv) all taxes and governmental charges, including any sales, value added or other taxes (except income taxes) or fees payable by or on behalf the Partnership, including in respect of the acquisition, ownership or disposition of any Investments, (v) fees and disbursement of outside auditors relating to any audit of, or accounting services, with respect to the books and records of the Partnership, including the preparation of reports to be delivered according to Article 15, (vi) fees and disbursement of legal counsel, administrator, trustee, bookkeepers, appraisers, engineers, project managers, asset managers, inspectors and consultants and other professionals, including public relations experts, (vii) all insurance premiums or similar expenses incurred in connection with the activities and management of the Partnership, including property insurance costs and fidelity and D&O insurance costs, (viii) asset and other marketing expenses, (ix) costs and expenses of the Advisory Board, (x) meetings with the Limited Partners (together or separately), (xi) all costs and expenses incurred as a result of the Partnership's liquidation and the distribution, realization or disposal of the Investments and other assets pursuant thereto, (xii) interest expenses and fees payable for borrowed money and any other expenses related to the Partnership's activities pursuant to Section 5.3, (xiii) any extraordinary expenses, including litigation expenses, indemnification payments and any judgment or settlement paid in connection therewith , (xiv) fees, commissions, costs and expenses incurred in negotiating, entering into, effecting, maintaining, restructuring, varying and terminating any guarantee or commitment permitted to be incurred under this Agreement, (xv) market information systems, computer software expenses (xvi) all costs and expenses incurred in relation to obtaining waivers, consents or approvals pursuant to this Agreement and all reasonable costs and expenses of, and/or incidental to, the preparation of amendments to this Agreement pursuant to its terms, (xvii) all costs and expenses of, and/or incidental to, the preparation and dispatch to the Partners of all financial statements, tax returns, checks, reports, circulars, forms and notices and any other documents necessary or desirable in connection with the business and administration of the Partnership, including valuation costs and assessment fees, (xviii) regulatory and governmental filing fees and expenses, (xix) fees paid to Persons that are not Affiliates of the General Partner in connection with the syndication by such Persons of co-investment opportunities in which the Partnership participates, and any other expenses properly chargeable to the activities of the Partnership and (xx) fees paid for the maintenance and management of Investment, including property and asset management fees. The Partnership shall reimburse the General Partner, the Management Company (if any) and any of their Affiliates for any such expenses incurred by any of them for and on behalf of the Partnership.

6.2.4 **Management Fee.**

6.2.4.1 **Amount.**

Subject to the limitations set forth below, the Partnership or the Alternative Investment Vehicle, shall pay the General Partner (or the Management Company, if so instructed by the General Partner), a quarterly management fee throughout the term of the Partnership, for the investment advice and other services to be provided hereunder (the "**Management Fee**"). The Management Fee will equal 0.3% per quarter (1.2% per annum) of the aggregate NAV of the Partnership as at the last day of the relevant quarter plus VAT, if applicable. The Management Fee payable for any period of less than a full fiscal quarter shall be proportionately adjusted based upon the ratio the number of days in such period bears to 90.

6.2.4.2 **Timing of Payments.**

Payments of the Management Fee shall be calculated and made quarterly on the first Business Day following the calculation of the NAV for the previous fiscal quarter of the Partnership. The first payment shall be due upon the end of the first quarter following the Initial Subscription Date.

6.2.4.3 **Management Fee Adjustments for Excess Organizational Expenses.**

The Management Fee otherwise payable during the term of the Partnership shall be reduced (but not below zero), by an amount equal to one-fifth of any Organizational Expenses paid by the Partnership in excess of cap amount set out in Section 5.1 above; *provided that* if the full amount of excess Organizational Expenses is not offset in during the term of the Partnership then the Management Fee otherwise payable thereafter shall be reduced (but not below zero), by the remaining amount of such excess Organizational Expenses. If the full amount of such excess Organizational Expenses is not offset during the term of the Partnership, the General Partner shall pay over to the Partnership the remaining amount of such excess.

6.2.4.4 **Adjustment for Fees Subject to Offset.**

The amount of any directors' fees or consulting fees, break-up fees or equivalent compensation, whether in cash or in kind, received by the General Partner, the Management Company (if any) or the Principals with respect to any Investment (other than reimbursement of out-of-pocket expenses or in connection with co-investments and the additional fees set forth in Section 6.4 below) (collectively "**Fees Subject to Offset**") shall be offset against and reduce the amount of the Management Fee payment next due to the General Partner pursuant to Section 6.2.4.1. Fees Subject to Offset that would have been applied as an offset to Management Fees next due in accordance with this Section 6.2.4 but were not so applied shall be carried forward and shall be applied to subsequent payments of Management Fees.

6.2.4.5 Notwithstanding the above, any Fees Subject to Offset paid to the General Partner, the Management Company (if any) or the Principals in respect of an Investment in which a Parallel Fund (or any other entity formed or managed by the General Partner or an Affiliate thereof) has also invested, shall, for purposes of reducing the Management Fee, be

allocated between the Partnership and such Parallel Fund or other entity pro rata in accordance with the relative investments made by each of them in such Investment.

### 6.3 INITIATION FEE

The Partnership or the Alternative Investment Vehicle, shall pay, upon the transfer of funds to an Investment Subsidiary in respect of each specific Investment, to the General Partner an amount equal to 0.3% of the aggregate amount made available by the Fund to the Investment Subsidiary in respect of such Investment (including in respect of reinvestments, subject to Section 5.4) plus VAT, if applicable (the "**Initiation Fee**").

### 6.4 OTHER FEES

The General Partner may enter into an agreement with any local partner that the Fund is making an Investment alongside or through such local partner, pursuant to which the General Partner or its Affiliates shall be entitled to participate in or otherwise be allocated a certain share of the fees of such local partner in respect of the Investments made with or through such local partner.

## ARTICLE 7 – ADMISSIONS AND REDEMPTIONS

### 7.1 ADMISSION OF LIMITED PARTNERS; GENERAL OBLIGATIONS.

7.1.1 Each Partner shall make Contributions to the Partnership, by way of contributing equity, in accordance with and subject to the terms of this Agreement specifically Section 7.3 below, in a minimal amount equal to US $ 150,000 for each individual Investor and US $ 500,000 for non-individual Investor. Contributions of lesser amounts may be accepted, on a case-by-case basis, in the sole discretion of the General Partner. Any such Contributions shall be made as instructed by the General Partner and shall be extended to the Partnership by wire transfer or other transfer of immediately available funds on the relevant due date to the Parking Account.

7.1.2 The General Partner and its beneficial owners or employees, the Principals and their respective Affiliates may invest in the Partnership, as Limited Partners upon acquiring Units. Any such investment by the General Partner, and if approved by the General Partner, its beneficial owners or employees, the Principals or their respective Affiliates, and the portions of the Units attributable to them, directly or indirectly (together, the "**GP Contribution**"), shall be subject to the same terms as all other Units or the parallel interests in a Parallel Fund, as applicable, of the class associated with such Units or the parallel interests in a Parallel Fund, as applicable; provided, however, that the General Partner may reduce or eliminate the Performance Fee, Management Fee or Initiation Fee with respect to the GP Contribution or any part thereof. The aggregate amount of the GP Contribution shall equal to the lower of: (i) 5% of the Fund's aggregate Contributions and (ii) USD 5,000,000.

7.1.3 Contributions of the General Partner in respect of the GP Contribution generally shall be made in cash; provided, however, that each amount that the General Partner would otherwise be obligated to contribute may be reduced in whole or in part, if the General

Partner so elects (the "**Cashless Portion**"), and each such reduction shall result in a corresponding Fee Adjustment pursuant to Section **שגיאה! מקור ההפניה לא נמצא.**. Notwithstanding the aforesaid, for purposes of applying all other provisions of this Agreement (other than this Section 7.1.1), the General Partner shall be treated as if it had made each Contribution in full without reduction for any Cashless Portion; provided, however, that the General Partner's Partner Account shall not be increased by any Cashless Portion.

7.1.4 Unless otherwise specifically provided, or where the context otherwise indicates, all references in this Agreement to the General Partner's "Contribution" to the Partnership shall include any Contributions deemed made pursuant to this Section 7.1.

7.1.5 Except as otherwise permitted by the General Partner, initial or additional Contributions to the capital of the Partnership by each Partner shall be made in accordance with the provisions of this Article 7.

7.1.6 The General Partner may on any Investment Date and without advance notice to or consent from the Limited Partners admit any Person who shall agree to be bound by all of the terms of this Agreement as a Limited Partner and issue Units to such Person. The General Partner shall have the absolute discretion to reject subscriptions for Units in the Partnership for any reason and for no reason. Effective upon each such admission, the List of Partners shall be revised to reflect the name and Contribution of such additional Limited Partner.

### 7.2 BENEFIT OF CONTRIBUTIONS.

The provisions of this Agreement, including this Article 7, are intended to benefit the Partners and, to the fullest extent permitted by law, shall not be construed as conferring any benefit upon any creditor of the Partnership (and no such creditor of the Partnership shall be a third party beneficiary of this Agreement) and neither the Limited Partners nor the General Partner shall have any duty or obligation to any creditor of the Partnership to make any Contribution to the Partnership or to issue any call for Contribution pursuant to this Agreement, except as specifically provided in this Agreement.

### 7.3 SUBSCRIPTIONS PROCEDURE.

7.3.1 Applications for Units in the Partnership should be made by written application using the Subscription Booklet provided by the General Partner/Administrator. Investment in Units of the Partnership may only be made effective as of each Investment Date.

7.3.2 Subscription Booklets, duly completed, must be received by the Administrator at least 21 Business Days prior to the applicable Investment Date or such later time or date as the General Partner shall determine. The General Partner will inform each Partner, at least 5 Business Days following the receipt of such Partner's Subscription Booklet whether it has decided to accept its subscription to the Partnership and the approved subscription amount if lower than as indicated in its Subscription Booklet. A SWIFT confirming the transfer of the subscription amounts to the Parking Account, in immediately available funds must be received by the

Administrator at least 10 Business Days prior to the applicable Investment Date or such later time or date as the General Partner shall determine.

7.3.3 Subscription monies held in the Parking Account shall not confer on the prospective Partners any rights in the Partnership including without limitation rights for distribution and shall not entitle such prospective Partners to any interest, provided that the subscription monies shall not be held in such Parking Account for more than 90 days. Any interest earned on subscription proceeds prior to the relevant Subscription Date will be credited to the Partnership. Subscription monies held in the Parking Account may be invested by the General Partner in short term cash deposits or short term mutual funds (in US$ currency or NIS) including, without limitation, mutual funds managed or advised by Affiliates of the General Partner. For the avoidance if any doubt, admittance to the Fund of a Limited Partner shall take place only upon the transfer of such Investor's subscription monies from the Parking Account to a bank account of the Fund or on the General Partner's direction to other bank account on account of a respective Investment.

7.3.4 Each Partner shall bear all handling and other bank charges in connection with remittance of funds in respect of any application for Units made by it.

7.3.5 Each Partner will receive written confirmation from the Administrator of its subscription amount and the number and class of Units purchased by such Partner.

7.3.6 No certificates will be issued for Units. Fractional Units may be issued up to four decimal places.

**7.4 SUBSCRIPTION PRICES.**

7.4.1 On the Initial Subscription Date, the Subscription Price per Class A and Class A-1 Unit is US $25,000 and the Subscription Price per Class B and Class B-1 Unit is NIS [ ].

7.4.2 Any further Units issued subsequent to the Initial Subscription Date (including Class A Units, Class A-1 Units, Class B Units and Class B-1 Units issued following the Initial Subscription Date) will be issued in the relevant currency of the particular class at the relevant subscription price on each Investment Date, which will be equal to the NAV per Unit of the relevant class as at the Calculation Date preceding the Subscription Date on which the subscription is effective (the "**Subscription Price**").

**7.5 REDEMPTION OF UNITS.**

7.5.1 The Units of a Partner in the Partnership may not be redeemed from the Partnership prior to its dissolution except as provided in this Section 7.5. The redemption price per Unit of a class will be equal to the NAV per Unit of such class as at the Calculation Date immediately preceding the relevant Redemption Day.

7.5.2 Following the Lock-Up Period, any Limited Partner may voluntarily redeem all or part of its Units in the Partnership, during the Investment Period, on each Redemption Day,

by giving irrevocable written notice to the General Partner and Administrator at least ninety (90) days prior to such Redemption Day and indicating the amount to be withdrawn pursuant to such notice and/or the number and class of Units to be redeemed (a "**Redemption Request**"). Notwithstanding the foregoing, such redemption shall be subject to a deduction of up to 2.5% of the value of the Limited Partner's Interest in the Partnership which is being redeemed if such redemption is being requested during the 12 month period following the Lock-Up Period, or 1.5% if such request is being made more than 12 months from the end of the Lock-UP Period, unless approved otherwise by the General Partner ("**Redemption Fee**"). The Redemption Fee shall be payable to and accrue to the benefit of the General Partner, which may be used to cover the financing costs of the General Partner's affiliated entity's who may provide liquidity for the redemption process as set forth in Section 7.5.4 below. In such event, the amount paid to the Limited Partner shall be reduced as required by the Tax Pre-Ruling (as defined herein). The minimum Redemption amount in respect of each redeeming Limited Partner, shall be at least NIS 200,000 in respect of Class B and Class B-1, and US$ 50,000 in respect of Class A and Class A-1. Any partial redemption from the Partnership must not result in the Limited Partner's remaining Interests in the Partnership being less than NIS 200,000 in respect of Class B and Class B-1, and US$ 50,000 in respect of Class A and Class A-1.

7.5.3 Payment of the Redemption amount (net of related tax withholdings as contemplated by the Tax Ruling (if any) and any expenses, including Management Fees, commissions and other payments) shall be made in cash within [30 Business Days after the effective Redemption Day, without interest; provided that all of the required redemption documentation and anti-money laundering requirements have been furnished to and received by the Administrator.

7.5.4 Notwithstanding Section 7.5.3 above and without derogating from Section 7.5.5 below: (i) in cases, where the General Partner believes that on a particular Redemption Date, there is no possibility to make the redemptions in accordance with all or part of the Redemption Requests that have been received by it, including in cases where (i) there is no possibility to evaluate the Partnership's assets, and/or (ii) the Partnership is not in possession of sufficient amounts to perform such redemptions, and/or (iii) the Partnership does not have the ability to dispose of Investments at the required scope to support the requested Redemptions, and/or (iv) such disposal could cause damage to the Partnership and/or to the Partners, and/or (v) the cumulative amount of all Redemption Requests for such Redemption Date exceeds 10% of the NAV of the Partnership, the General Partner will be entitled to postpone, or reduce the Redemption amounts, by giving notice to the relevant redeeming Partners. In any event of postponement of the Redemption Date or the reduction of the Redemption amount, such will be made pro rata for all Investors who have submitted Redemption Requests with respect to the said Redemption Date, in accordance with their requested redemption amount. A Redemption Notice will be deemed to have been given in respect of the postponed amount for each Redemption Date that will occur thereafter, up until the full redemption thereof, and this amount will be paid to the redeeming Partner prior to the payment of amounts against Redemption Requests that are subsequent to the said requested Redemption Date. Without derogating from the above, an affiliated entity of the General Partner may, in events where there are no sufficient funds to support all Redemption Requests at a certain Redemption Date, purchase up to the lower of 10% of the aggregate Contributions or US$ 10 million dollars, which amount shall be allocated pro-rata between the redeeming Limited Partners

at such Redemption Date. The aggregate thresholds for the General Partner's affiliate above are being made as an aggregate undertaking for the entire duration of the Fund and not for a specific Redemption Date.

7.5.5 In case of a Limited Partner that acquired Interest in the Partnership in multiple Subscription Dates, the Redemption Request by such Limited Partner shall be affected on a first in first out basis in respect of such Partner's Interest in the Fund.

7.5.6 A redeeming Partner shall not share in the income, gains and losses of the Partnership or have any other rights as a Partner after the effective date of the Redemption with respect to the portion of its Units that is being redeemed. A Limited Partner shall cease to be a **Limited** Partner after the effective date of the Redemption if, following such Redemption, such Limited Partner holds no Units in the Partnership. The List of Partners shall be amended to reflect such Redemption.

**7.6 RETURN OF CERTAIN AMOUNTS SUBJECT TO SUBSEQUENT DRAWDOWN.**

7.6.1 **Return of Certain Distributions.**

7.6.1.1 in order to facilitate the distribution of cash or property to the Partners received upon the sale or exchange of Investments in circumstances in which the Partnership may have a continuing obligation to return some portion of such cash or property as a result of an indemnification or similar obligation on the part of the Partnership arising out of such sale or exchange transaction, whether in connection with a breach of representations or warranties or otherwise, the General Partner may cause the Partnership to repay or distribute cash or property at any time to the Partners subject to the requirement that an amount of cash equal to all or a portion of such cash or property be returned to the Partnership to satisfy such indemnification or similar obligation. Any amounts required by the General Partner to be returned pursuant to this Section 7.6.1.1 shall be returned by each Partner (including redeemed Partners if applicable) upon not less than ten (10) days' prior notice, which notice shall state that such return is required pursuant to this Section 7.6.1.1.

7.6.1.2 Without derogating from Section 7.6.1.1 above, in the event that the Partnership incurs a liability or obligation of indemnification under Article 13 and the Partnership does not have sufficient available funds to satisfy such liability or obligation, then the General Partner may require that each Partner (including redeemed Partners if applicable) return previous distributions made to it, upon not less than ten (10) days' prior written notice from the General Partner, provided however, that no Partner shall be obligated to return a distribution under this Section 7.6.1.2 after the expiration of the third anniversary of the final liquidating distribution, unless a written notice was sent during that period that the General Partner or the Partnership are in the process of litigating, arbitrating or otherwise settling the aforementioned claims, or (ii) in an amount exceeding more than 50% of the aggregate distributions received thereby from the Partnership throughout the term of the Partnership.

7.6.1.3 The aforementioned return obligations shall apply to all Partners pro-rata based on their Contributions; provided that the General Partner may make any necessary

adjustments in order to reflect more closely the Partners' relative economic interests in the Partnership. With respect to the return of a distribution that was made in-kind, each Partner may, at its option, return an identical amount in cash equal to the value of the relevant asset on the date of distribution.

7.6.1.4 The failure by a Partner to contribute any amount required in accordance with Sections 7.6.1.1 and 7.6.1.2, shall be treated as a failure to make a Contribution when due, and the Partnership may pursue and enforce all rights and remedies. The provisions of this Section 7.6.1 shall not be construed or interpreted as inuring to the benefit of any Person other than the Partnership and the Partners. For the avoidance of doubt, a Partner's obligation under this Section 7.6.1 shall survive the winding up and liquidation of the Partnership.

## ARTICLE 8 - DISTRIBUTIONS

### 8.1 AMOUNT, TIMING AND FORM.

8.1.1 **General.**

Subject to the other provisions of this Agreement, the General Partner shall determine from time to time to make distributions to the Partners, in the amount and timing it finds suitable and in accordance with the provisions of this Article 8.

8.1.2 **Distribution of Proceeds of Investments.**

8.1.2.1 Subject to reinvestment permitted under Section 5.4 and subject to payment of the Partnership's Expenses, liabilities and obligations (including but not limited to the Management Fee, the Initiation Fee and any current or anticipated liabilities of the Partnership or the retention of amount to cover such expenses, liabilities and obligations), the Partnership shall make distributions to the Partners, in the manner described in this Article 8 or Article 11, as the case may be, and at the time or times determined by the General Partner in its discretion, (i) all cash proceeds from the realization of its Investments as promptly as practicable after their receipt by the Partnership, and (ii) all cash proceeds from its ongoing cash flows on a quarterly basis (together "**Available Proceeds**"). Notwithstanding the preceding sentence, certain class or classes of Units may be classified as accruing Units and the respective portion of the Available Proceeds in respect of such Units shall be accrued by the Partnership for the benefit of the holders of such Units and be reinvested by the Fund.

### 8.2 DISCRETIONARY DISTRIBUTIONS.

8.2.1 **Distributions**

At the end of each accounting quarter, the profits or losses of the Partnership (except for expenses and charges, if any, allocated specifically to each Limited Partner, in accordance with the terms applicable to its Interest) for such accounting period shall be allocated (and credited or debited, as the case may be) to the Partner Accounts of the Partners in accordance with each Partner's Interest as of the first Business Day of such accounting period (taking into

account any Contributions made as of such day). Available Proceeds shall be apportioned among the Units, per each Unit held.

8.2.2 **Distributions to the General Partner.**

8.2.2.1 The General Partner shall be entitled to an annual fee, such that as of the last Business Day of each calendar year of the Partnership, the balance (following the allocations of profits and losses to the Partners' Accounts) of the Partner's Account maintained with respect to each Limited Partner shall be reduced by an amount (each such amount, an annual "**Performance Fee**"), calculated separately with respect to each Unit owned by such Limited Partner, of fifteen percent (15%) of the amount, if any, by which the NAV of such Unit on the date of calculation exceeds the sum of (i) the amount of the High Water Mark with respect to such Unit on such date, and (ii) a return of seven percent (7%) with respect to the amount of such High Water Mark, calculated from the date of the payment of the Performance Fee with respect to such Units (or the Subscription Date with respect to such Unit, in the case no Performance Fee was paid in respect of such Unit). Each annual Performance Fee shall be accrued and paid once a year or upon a withdrawal of a Limited Partner.

For the purpose of this Section 8.2.2.1, "***High Water Mark***" shall mean the greater of the NAV per Unit of a class at the time of issue of that Unit of such class and the highest NAV per Unit of that class of Unit achieved as at the end of any previous calendar year (if any) during which such class of Unit was in issue (or the date of the initial issue of the relevant class of Unit). For the purpose of calculating the High Water Mark per Unit, Units which are acquired from existing Limited Partners in accordance with the provisions of this Agreement, will be treated as if they were issued on the date of the acquisition at the most recent Subscription Price for these purposes.

8.2.2.2 The amount of all Performance Fee shall be allocated to the General Partner and credited to the Partner's Account maintained with respect thereto. The amount of any Performance Fee allocated to the Partner's Account of the General Partner shall, in the discretion of the General Partner, be distributed to the General Partner from time to time. Any such amounts not so distributed within one (1) month shall continue to be invested by the Partnership on the General Partner's behalf.

**8.3 TAX DISTRIBUTIONS.**

The Partnership may, at the General Partner's sole discretion, distribute to each Partner, in respect of each fiscal year, an amount of cash, calculated based on the highest tax rate applicable to the Partners in the Partnership, in order to cover such Partners' tax liability with respect to the Partnership's income. Tax distributions will count as distributions for all purposes, including without limitation for determining whether Partners have received a full return of their Contributions (a "**Tax Distribution**").

**8.4 CERTAIN DISTRIBUTIONS PROHIBITED.**

Anything in this Article 8 to the contrary notwithstanding, no distribution shall be made to any Partner if, and to the extent that, such distribution would not be permitted under any applicable provisions of the Act.

## ARTICLE 9 - PARTNER ACCOUNTS; ALLOCATIONS

### 9.1 PARTNER ACCOUNTS.

There shall be established and maintained on the books of the Partnership a Partner Account for each Partner, in accordance with Section 704(b) of the Code and the Treasury Regulations promulgated thereunder (a "**Partner Account**") that shall be:

9.1.1 Increased by (1) any Contributions made to the Partnership by such Partner pursuant to this Agreement and (2) any amounts in the nature of income or gain allocated to such Partner pursuant to this Article 9; Decreased by (1) any distributions made to such Partner and (2) any amounts in the nature of loss or expense allocated to such Partner pursuant to this Article 9; and

9.1.2 The Partner Account, shall also include the relevant information in respect of Units held by each Partner; and shall set forth, inter alia, the following:

9.1.2.1 The issue of each Unit to the Limited Partner shall be applied in the books of the Partnership to its respective Account.

9.1.2.2 The Redemption of each Unit held by a Limited Partner shall be applied in the books of the Partnership to its respective Account.

9.1.2.3 At any time of determination, the balance in each Partner's Account shall derive from the number of Units held by such Partner and their respective NAV per Unit.

### 9.2 ALLOCATIONS OF NET GAIN AND LOSS.

The net gain and losses of the Partnership shall be allocated among the Partner Accounts of the Partners to reflect the respective amounts they would receive if the Partnership was liquidated, all of its assets were sold for their fair values, all of its liabilities were satisfied, and the remaining amounts were distributed in liquidation pursuant to Section 11.2. Allocations for tax purposes shall be made in a manner consistent with the allocations to Partner Accounts, except to the extent necessary to take into account any differences between tax and book accounting, in which case the tax allocations shall be made in compliance with applicable tax laws. The General Partner may, in its discretion, adjust the allocation of profits and losses, or manage the Partner Accounts in a different manner, in order to comply with any applicable law, or to address tax considerations.

## ARTICLE 10 - DURATION OF THE PARTNERSHIP

### 10.1 TERM OF PARTNERSHIP

The Partnership shall continue perpetually unless a Winding up Event has occurred.

**10.2 WINDING UP AND DISSOLUTION.**

10.2.1 **Winding up events.**

The Partnership shall be wound up and dissolved only upon the occurrence of any of the following (each such event a "**Winding up Event**"):

10.2.1.1 The decision by the General Partner to commence the realization of all the Partnership's outstanding Investments and assets; given that the General Partner anticipates that such decision will be adopted by the fifth (5) anniversary of the Initial Subscription Date, provided that the General Partner may delay such decision to the following anniversary of the Initial Subscription Date, provided further that the complete realization shall not occur later than the seven (7) anniversary of the Initial Subscription Date.

10.2.1.2 If a court issues a binding judgment or decree rendering the dissolution of the Partnership (including an entry of decree of judicial dissolution under Section 17-802 of the Act (6 Del. C. § 17-802)) and/or the General Partner, except for dissolution for the purpose of a merger with another Person or the re-organization of the Partnership and/or General Partner, as applicable.

10.2.1.3 The decision of the General Partner that the Partnership should be dissolved;

10.2.1.4 Any other event or circumstance giving rise to the dissolution of the Partnership under Section 17-801 of the Act (6 Del. C. § 17-801), unless the Partnership's existence is continued pursuant to the Act.

10.2.1.5 The occurrence of a Cause Event, with the consent of the Limited Partners holding at least two thirds of the Interests regarding the winding up the Partnership and any Parallel Fund by providing a written notice to the General Partner.

10.2.1.6 The Partnership shall not be dissolved in the event of the dissolution, death, bankruptcy, insolvency, incompetency, disability, or substitution of any Limited Partner. Upon the occurrence of any of the aforementioned events the Limited Partner shall be replaced by such Person's legal successor which is authorized under applicable law to act in such Limited Partner's assets, including, in the event of a corporation, a receiver or a liquidator of such Limited Partner or, in the event of an individual Limited Partner, a trustee in bankruptcy, an official receiver of a bankrupt individual, a legal guardian or an heir.

## ARTICLE 11 - LIQUIDATION OF ASSETS

**11.1 GENERAL.**

Upon the occurrence of a Winding up Event, the Partnership's assets (if any) shall be liquidated in an orderly manner. The General Partner shall be the liquidator to wind up the affairs of the Partnership pursuant to this Agreement; *provided*, *however*, that pursuant to the Act, the courts may, upon application of a creditor of the Partnership (and no other Person), appoint another liquidator

**11.2 LIQUIDATING DISTRIBUTIONS.**

11.2.1 **Order of Priority.**

The liquidator shall pay or provide for the satisfaction of the Partnership's liabilities and obligations to creditors. In performing its duties, the liquidator is authorized to sell, exchange or otherwise dispose of the assets of the Partnership in such manner as the liquidator shall determine.

To the extent on the date of the commencement of the winding up there are any remaining assets in the Partnership, then the Partnership's liquidation shall take place by realizing the Partnership's assets and distributing any proceeds thereof. The proceeds from liquidation shall be paid in the following manner and priority:

11.2.1.1 Payment of the expenses of liquidation (including reasonable compensation for the services of the liquidator).

11.2.1.2 Satisfying the debts and liabilities of the Partnership, other than debts and liabilities to Partners.

11.2.1.3 Satisfying any debts and liabilities of the Partnership to the Partners.

11.2.1.4 All remaining proceeds shall be paid to all Partners in accordance with the distribution provisions set forth in Article 8 of this Agreement.

11.2.2 **General Rules.**

11.2.2.1 A reasonable time shall be allowed for the winding up of the affairs of the Partnership.

11.2.2.2 Distributions will be made in cash (directly or indirectly through a special purpose vehicle controlled by the General Partner or a Person associated with the General Partner), in the sole discretion of the liquidator. During the liquidation of the Partnership, the liquidator shall furnish to the Partners the financial statements and other information specified in Section 15.2, subject to Section 15.8.6.

11.2.2.3 During the period of the winding up of the affairs of the Partnership, the business of the Partnership and the rights and obligations of the Partners shall continue to be governed by this Agreement.

11.2.2.4 Upon the completion of the winding up of the Partnership, the General Partner shall file a certificate of cancellation of the Certificate of Limited Partnership with the Office of the Secretary of State of the State of Delaware in accordance with Section § 17-203 of the Act (6 Del. C. § 17-203).

11.2.2.5 Notwithstanding anything to the contrary set forth in this Article 10, but subject to the other limitations on investments set forth in this Agreement, the liquidator may, at any time after the Partnership commences winding up, cause the Partnership to make additional investments in entities which were Investments on the date it commenced winding up (including any successor to, or Affiliate of, an Investment), if the liquidator believes that such additional investments are in the best interest of the Partnership.

**11.3 EXPENSES OF LIQUIDATOR.**

The expenses incurred by the liquidator in connection with winding up the Partnership, all other losses or liabilities of the Partnership incurred in accordance with the terms of this Agreement, and reasonable compensation for the services of the liquidator shall be borne by the Partnership. If the General Partner serves as the liquidator, it shall not be entitled to additional compensation for providing services in such capacity as long as it continues to be entitled to payments of the Management Fee.

**11.4 LIABILITY FOR RETURNS.**

11.4.1 **General.**

The liquidator, the General Partner and their respective partners, members, stockholders, officers, directors, managers, employees, agents and Affiliates shall not be personally liable for the return of the Contributions of any Partner.

11.4.2 **Limited Partner Obligations.**

No Limited Partner shall be obligated to restore to the Partnership any amount with respect to a negative Partner Account; *provided*, *however*, that this provision shall not affect the obligations of Partners to make their agreed-upon Contributions and any other payments to the Partnership that are required under this Agreement or applicable law, including without limitation 7.6.1.

**11.5 DISSOLUTION.**

Upon completion of the Partnership's winding up, the General Partner or other liquidator shall file a notice of dissolution in accordance with the Act and the Partnership will then dissolve.

## ARTICLE 12 - LIMITATIONS ON TRANSFERS AND WITHDRAWALS OF PARTNERSHIP INTERESTS

**12.1 TRANSFER OF GENERAL PARTNER'S INTERESTS.**

The General Partner shall not assign, pledge, mortgage, hypothecate, give, sell or otherwise dispose of or encumber (each such act, a "**Transfer**") all or any part of its general partnership interest in the Partnership, except (a) in connection with the change or technical reconstitution of the form of legal entity of the General Partner, (b) with the consent of a two-thirds-in-Interest of the Limited Partners, or (c) to an Affiliate of the General Partner or the Management Company. Any attempted Transfer of the General Partner's interest except in compliance with the preceding sentence shall be void. If a General Partner Transfers its interest pursuant to this Section 12.1, the transferee shall be admitted to the Partnership only upon the written consent of the transferring General Partner. The General Partner may pledge its limited interests in the Partnership to secure financing obtained by it for making a Contribution. In connection with any borrowing by the Partnership, the General Partner may collaterally assign and/or pledge the right of the Partnership to make and receive drawdowns of Contributions otherwise permitted by this Agreement, the right to collect such Contributions and the right to exercise the remedies provided under this Agreement in the event of a failure of a Partner to make its Contribution, to a lender to secure a loan to the Partnership, an Investment Subsidiary and/or to an Affiliate thereof, and no such collateral assignment shall be treated as a Transfer for purposes of this Agreement or otherwise require the consent of the Limited Partners.

**12.2 TRANSFER OF LIMITED PARTNERSHIP INTERESTS.**

12.2.1 **General.**

No Transfer of a Limited Partner's Units in the Partnership, in whole or in part, shall be made other than pursuant to this Section 12.2. Any attempted Transfer of all or any part of a Limited Partner's Interest in the Partnership without compliance with this Agreement shall be null and void. Each Transfer shall be subject to all of the terms, conditions, restrictions and obligations set forth in this Agreement, be evidenced by a written agreement executed by the transferor, the transferee(s) and the General Partner, in form and substance satisfactory to the General Partner.

No Transfer of any Partnership Units pursuant to this Section 12.2. shall be made except pursuant to an effective registration under the United States Securities Act of 1933, as amended, and any applicable state securities laws, or an exemption from such registration.

12.2.2 **Consent of General Partner.**

The prior written consent of the General Partner, which may be granted or withheld in its sole discretion, shall be required for any Transfer of all or part of any Limited Partner's Units in the Partnership, including a Transfer solely of an economic Interest in the Partnership. Notwithstanding the above, the General Partner shall not unreasonably withheld its consent to a pledge over Units in favor of a respectable financing institution that provided the financing for the respecting Limited Partner for the purpose of purchasing such Units. As a condition to its consent to a Transfer, the General Partner shall be authorized to impose such terms or request such information, as it deems appropriate, in its sole discretion.

12.2.3 **Required Representations by Parties.**

Each transferor and transferee shall provide the General Partner, in connection with any proposed Transfer, with written representations as the General Partner may reasonably request. The General Partner and counsel to the Partnership shall be permitted to rely upon any representations made by the transferor and transferee(s), and on written representations from other Partners made prior to or contemporaneously with such proposed Transfer. The General Partner, in its sole discretion, may waive its right to obtain any representations otherwise required by this Section 12.2.3.

12.2.4 **Opinion of Counsel.**

Any Transfer otherwise permitted hereunder will be made only upon receipt by the Partnership of a written opinion of counsel for the Partnership or of other counsel reasonably satisfactory to the General Partner, in form and substance satisfactory to the General Partner, as to compliance with this Section 12.2 and such other legal matters as the General Partner reasonably may request, including to the effect that the proposed Transfer may be effected without registration under the United States Securities Act of 1933 and any applicable state securities laws. The General Partner may waive, in whole or in part, the requirement of an opinion pursuant to this Section 12.2.4.

12.2.5 **Reimbursement of Transfer Expenses.**

The transferor of any Units in the Partnership hereby agrees to reimburse the Partnership, at the request of the General Partner, for any expenses reasonably incurred by the Partnership in connection with a proposed Transfer, including the costs of seeking and obtaining the legal opinion required pursuant to Section 12.2.4 and any other legal, accounting and miscellaneous expenses ("**Transfer Expenses**"), whether or not such Transfer is consummated. At its election, and in any event if the transferor has not reimbursed the Partnership for any Transfer Expenses incurred by the Partnership in preparing for or consummating a proposed or completed Transfer within ten days after the General Partner has delivered to such Partner written demand for payment, the General Partner may offset the amount of Transfer Expenses against any distribution payable under Article 8 or Article 11 with respect to the Units transferred or proposed to be transferred (it being understood that the amount so offset shall be deemed to have been distributed).

**12.3 ADMISSION OF SUBSTITUTED LIMITED PARTNERS.**

12.3.1 **General.**

Any transferee of a Partnership Units transferred in accordance with the provisions of this Article 12 shall be admitted as a Limited Partner only with the General Partner's written consent (which consent may be withheld for any reason or for no reason), and the transferee's written agreement to be bound by the terms of this Agreement (and other documents contained in the Subscription Booklet) as a Limited Partner. Without the written consent of the General Partner to such Transfer and the written opinion of counsel required by 12.2.4 (or waiver thereof by the General Partner), no transferee of a Partnership Units shall be admitted as a Limited Partner.

12.3.2 **Effect of Admission.**

The transferee of an Interest in the Partnership transferred pursuant to this Article 12 that is admitted to the Partnership as a Limited Partner shall succeed to the rights and liabilities of the transferor Limited Partner with respect to such Interest and, after the effective date of such admission, the Units, Contribution, and Partner Account of the transferor shall become the Units, Contribution and Partner Account of the transferee, to the extent of the Interest transferred. If a transferee is not admitted to the Partnership as a Limited Partner, (a) such transferee shall have no right to participate with the Limited Partners in any votes taken or consents granted or withheld by the Limited Partners hereunder, and (b) the transferor (including, if applicable, the estate, legal representative, or other successor of the original owner) shall remain liable to the Partnership for all Contributions and other amounts payable with respect to the transferred Interest to the same extent as if no Transfer had occurred.

**12.4 NON-COMPLIANT TRANSFER.**

If a Transfer has been proposed or attempted but has not satisfied the requirements of this Article 12 (including, as determined in good faith by the General Partner, any transaction which does not otherwise constitute a Transfer but a purpose of which is to achieve indirectly a result similar to that which would be achieved directly if such transaction were structured as a Transfer), the General Partner shall not admit the purported transferee as a Limited Partner but, to the contrary, shall use its reasonable best efforts to ensure that the Partnership (a) continues to treat the transferor as the sole owner of the Units in the Partnership purportedly transferred, (b) makes no distributions to the purported transferee, and (c) does not furnish to the purported transferee any tax or financial information regarding the Partnership. The General Partner shall also use its reasonable best efforts to ensure that the Partnership does not otherwise treat the purported transferee as an owner of any Units in the Partnership (either legal or equitable), unless required by law to do so. The Partnership shall be entitled to seek injunctive relief, at the expense of the purported transferor, to prevent any such purported Transfer.

**12.5 MULTIPLE OWNERSHIP.**

If any Transfer results in multiple ownership of any Limited Partner's Units in the Partnership, the General Partner may require one or more trustees or nominees to be designated as representing a portion of or the entire Interest transferred for purposes of (a) receiving all notices which may be given, and all payments which may be made, under this Agreement and (b) exercising all rights which the transferor as a Limited Partner has pursuant to the provisions of this Agreement.

## ARTICLE 13 - EXCULPATION AND INDEMNIFICATION

**13.1 EXCULPATION.**

13.1.1 **General.**

No Covered Person, whether or not such Person remains a Covered Person, shall be liable to the Partnership or any Partner for any loss suffered by the Partnership or any Partner which arises out of any investment or any other action or omission of such Covered Person if it has been finally determined by a court of competent jurisdiction that such conduct constitutes fraud, intentional misconduct or gross negligence. For purposes of this Article 13, "**Covered Person**" shall mean the General Partner (including without limitation the General Partner acting as liquidator), each Principal, the Management Company (if any), the members of any committee of the Partnership, and each partner, member, stockholder, officer, director, manager, employee, consultant, Advisory Board, agent or Affiliate of any of the foregoing.

13.1.2 **Further Limitations.**

No action, suit or proceeding may be brought by any Limited Partner against a Covered Person with respect to any investment or any other act or omission by such Covered Person which relates to either the Partnership, or the Limited Partners , as applicable, taken as a whole, or any class or group of Limited Partners or, as applicable, Investor that are affected in the same manner), unless such action, suit or proceeding is brought by a Majority-in-Interest of the Partners, if with respect to the Partnership taken as a whole.

13.1.3 **Activities of Others.**

No Covered Person shall be liable for the negligence (whether by action or omission), dishonesty or bad faith of any employee, broker or other agent of the Partnership selected by any Covered Person with reasonable care.

13.1.4 **Advisory Board Members.**

No member of the Advisory Board shall be liable to the Partnership or any Limited Partner for any loss suffered by the Partnership, any Partner which arises out of any action or omission of such member, *provided that* such member's act or omission of act did not constitute fraudulent or willful misconduct.

13.1.5 **Liquidator.**

No Person (other than the General Partner) that serves as liquidator pursuant to Article 11 shall be liable to the Partnership or any Partner for any loss suffered by the Partnership or any Partner which arises out of any action or omission of such Person, *provided that* such Person acted in good faith.

13.1.6 **Advice of Experts.**

No Covered Person, no member of the Advisory Board and no Person serving as liquidator shall be liable to the Partnership or any Partner with respect to any action or omission taken or suffered by any of them in good faith if such action or omission is taken or suffered in reliance upon and in accordance with the opinion or advice of legal counsel (as to matters of law), or of accountants (as to matters of accounting), or of investment bankers,

accounting firms, or other appraisers (as to matters of valuation), *provided that* any such professional or firm is selected by any such Person with reasonable care.

**13.2 INDEMNIFICATION.**

13.2.1 **General.**

The Covered Persons, each member of the Advisory Board and each Limited Partner that designated a member to the Advisory Board (each, an "**Indemnitee**") shall be indemnified (whether or not the Indemnitee continues to serve in such capacity at the time such action, suit or proceeding is brought or threatened), subject to the other provisions of this Agreement, by the Partnership (only out of Partnership assets) against any claim, demand, controversy, dispute, cost, loss, damage, expense (including attorneys' fees), judgment and/or liability incurred by or imposed upon the Indemnitees in connection with any action, suit or proceeding (including any proceeding before any administrative or legislative body or agency), to which the Indemnitees may be made a party or otherwise involved or with which the Indemnitees shall be threatened, by reason of the Indemnitee's being at the time the cause of action arose or thereafter, an Indemnitee, a liquidator, a member of the Advisory Board, a Limited Partner that designated a member of the Advisory Board, a partner, member, stockholder, director, officer, manager, trustee, employee, agent or Affiliate of any of the foregoing, or a partner, member, stockholder, director, officer, manager, trustee, employee, consultant or agent of any other organization in which the Partnership owns or has owned an interest or of which the Partnership is or was a creditor, which other organization the Indemnitee serves or has served as a partner, member, stockholder, director, officer, manager, trustee, employee, consultant or agent at the request of the Partnership, or by reason of actions or omissions taken or suffered in any such capacity.

13.2.2 **Limitation on Indemnification.**

An Indemnitee shall not be indemnified (a) in connection with any action, suit or proceeding solely among the General Partner, a Principal and/or their respective Affiliates, or (b) with respect to matters as to which the Indemnitee shall have been finally adjudicated in any such action, suit or proceeding to have acted with fraud, intentional misconduct or gross negligence (as such term is defined under the laws of the State of Delaware, United States).

13.2.3 **Advance Payment of Expenses.**

The Partnership shall pay the expenses incurred by an Indemnitee in connection with any such action, suit or proceeding, or in connection with claims arising in connection with any potential or threatened action, suit or proceeding, in advance of the final disposition of such action, suit or proceeding, upon (a) the assignment by such Indemnitee of any and all rights that the Indemnitee may have to seek indemnification from a Third Party Indemnifier with respect to such action, suit or proceeding, (b) the execution of a written agreement between the Partnership and the Indemnitee reflecting that, as a result of the advancement of such expenses, the Partnership is subrogated to the Indemnitee's rights to pursue a claim for indemnification from a Third Party Indemnifier with respect to such action, suit or proceeding, and (c) receipt of an

undertaking by such Indemnitee to repay such payment if the Indemnitee shall be determined to be not entitled to indemnification for such expenses pursuant to this Article 13 (whether by virtue of such Person's conduct, the receipt of a corresponding indemnification payment from a Third Party Indemnifier with respect to such matter, or otherwise); *provided*, *however*, that in such instance the Indemnitee is not defending an actual or threatened claim, action, suit or proceeding against the Indemnitees by the General Partner directly or indirectly through the Partnership (or by the Indemnitee against the Partnership and/or the General Partner).

13.2.4 **Insurance.**

At its election, the General Partner may cause the Partnership to purchase and maintain insurance, at the expense of the Partnership and to the extent available, for the protection of any Indemnitee or potential Indemnitee against any liability incurred in any capacity which results in such Person being an Indemnitee (provided that such Person is serving or has served in such capacity at the request of the Partnership or the General Partner), whether or not the Partnership has the power to indemnify such Person against such liability. The General Partner may purchase and maintain insurance on behalf of and at the expense of the Partnership for the protection of any officer, director, manager, employee or other agent of any other organization in which the Partnership owns an interest or of which the Partnership is a creditor against similar liabilities, whether or not the Partnership has the power to indemnify any Person against such liabilities.

13.2.5 **Successors.**

The foregoing right of indemnification shall inure to the benefit of the executors, administrators, personal representatives, successors or assigns of each such Indemnitee.

13.2.6 **Rights to Indemnification from Other Sources.**

13.2.6.1 The rights to indemnification and advancement of expenses conferred in this Section 13.2 shall not be exclusive and shall be in addition to any rights to which any Indemnitee may otherwise be entitled or hereafter acquire under any law, statute, rule, regulation, charter document, by-law, contract or agreement. If and to the extent indemnification is available to an Indemnitee from any Third Party Indemnifier, the Indemnitee will use commercially reasonable efforts to obtain indemnification from such Third Party Indemnifier before seeking indemnification from the Partnership; provided, that, the foregoing shall not limit the advance payments of expenses provided for in Section 13.2.3 or otherwise prejudice the Indemnitee in any way.

13.2.6.2 **Priority of Indemnification Sources**

The Partners hereby expressly intend that the provisions of this Section 13.2 shall be interpreted to reflect an ordering of liability for potentially overlapping or duplicative indemnification payments to an Indemnitee, with any applicable Third Party Indemnifiers having primary liability and the Partnership having only secondary liability. In the event the Partnership makes any indemnification payments to an Indemnitee with respect to any

action, suit, or proceeding, the Partnership shall be, automatically and without the need for any further action on the part of any Person, subrogated to the Indemnitee's rights to pursue a claim for indemnification from a Third Party Indemnifier with respect to such action, suit, or proceeding.

13.2.7 **Discretionary Limitation by General Partner.**

Notwithstanding Sections 13.2.1 and 13.2.3, the General Partner in its sole discretion may limit or eliminate indemnification payments that otherwise would be made by the Partnership to any Indemnitee, other than a member of the Advisory Board or a Limited Partner that designated such member.

13.2.8 **Enforcement Rights.**

Each Covered Person and Indemnitee shall have the right to enforce this Article 13 provided that this Section 13.2 may be rescinded or varied in accordance with Article 14 without the consent of any Covered Person or Indemnitee.

**13.3 LIMITATION BY LAW.**

If any Covered Person or Indemnitee or the Partnership itself is subject to any law, rule or regulation which restricts the extent to which any Person may be exculpated or indemnified by the Partnership, the exculpation provisions set forth in Section 13.1 and the indemnification provisions set forth in Section 13.2 shall be deemed to be amended, automatically and without further action by the Partners, to the minimum extent necessary to conform to such restrictions.

## ARTICLE 14 - AMENDMENTS, VOTING AND CONSENTS

**14.1 AMENDMENTS.**

14.1.1 **Required Consent.**

14.1.1.1 Except as otherwise provided in this Agreement, the terms and provisions of this Agreement may be waived, modified, terminated or amended, during or after the term of the Partnership, with the prior written consent of the General Partner and a Majority-in-Interest of the Partners; ***provided, however***, that any provision of this Agreement requiring the written vote or consent of a greater percentage in interest of the Limited Partners may be waived, modified, terminated or amended only with the vote or written consent of the General Partner and such greater percentage in interest of the Limited Partners as is required by such provision.

14.1.1.2 If a Parallel Fund is formed, then (i) the required consent for waiver, modification, termination or amendment of this Agreement and the organizational documents of the Parallel Fund or other vote or consent provided for in this Agreement and the organizational documents of the Parallel Fund shall be a Majority-in-Interest (or higher percentage if applicable) of the Fund Investors, regardless of whether a Majority-in-Interest (or higher percentage if applicable) of the Partners, taken separately, consents thereto, and (ii) the General Partner shall use its reasonable efforts to cause substantially identical amendments to be made to this Agreement and to the organizational documents of a Parallel Fund, subject to any special

regulatory, tax or other requirements applicable to the Partnership, a Parallel Fund or their investors.

14.1.1.3 Any provision of this Agreement or the organizational documents of a Parallel Fund that relates to any special regulatory, tax or other requirement and appears only in this Agreement or such other agreement or document may be amended with the consent of the General Partner and a Majority-in-Interest (or higher percentage if applicable) of the Limited Partners participating in the Partnership, or the equivalent non-managing equity holders in any Parallel Fund, as applicable.

14.1.1.4 The provisions of this Agreement may be amended with respect to any particular class of Units without the consent of any other Limited Partners not holding such class of Units, upon the written consent of a majority in Interest of the Limited Partners of such class of Units, ***provided that*** the terms of such amendment do not materially adversely affect any other classes of Units.

14.1.1.5 Notwithstanding the other provisions of this Article 14, the General Partner, without the consent of any other Partner, may amend any provisions of this Agreement ***provided that*** the General Partner determines that: (i) the required amendment is merely technical (including to correct any printing or clerical error or to clarify any ambiguity or contradiction in the provisions of the Agreement), or if the amendment is solely intended for the purpose of compliance with the requirements of any law or any governmental authority; (ii) the Limited Partners will only benefit from the amendment, or that the amendment is designated to add to the duties or obligations of the General Partner, or to surrender any right granted to it; or (iii) to make any change necessary or advisable in order to ensure that any actions contemplated hereunder comply, with the Act, and to ensure that no adverse effect shall occur to the Limited Partners, the General Partner or an Affiliate thereof as a result of the application of law, that may apply in the absence of such amendment.

14.1.2 **Amendments Affecting Partners' Economic Rights.**

No amendment of this Agreement shall dilute the Interest of any Limited Partner relative to the Interests of the other Limited Partners in the profits or capital of the Partnership or in allocations or distributions attributable to the ownership of such interest without the prior written consent of such Limited Partner. This Section 14.1.2 shall not be amended without the unanimous consent of all Partners.

14.1.3 **Notice of Amendments.**

The General Partner shall furnish copies of any proposed amendments of this Agreement to all Limited Partners (or, if applicable, to the specified class or group of Limited Partners whose consent is required) and shall furnish copies of any amendments to this Agreement to all Partners, other than changes in the List of Partners to reflect the admission, withdrawal or substitution of Partners, changes in the addresses of Partners or otherwise in accordance with Article 4, and changes in the Contributions of Partners (in each case occurring pursuant to this Agreement), which shall not require the consent of or notice to any Limited Partner.

### 14.2 VOTING AND CONSENTS.

Subject to Section 14.1.1 with respect to any Parallel Fund, whenever action is required by this Agreement to be taken by a specified percentage in Interest of the Limited Partners, such action shall be deemed to be valid if taken upon the written vote or written consent of those Limited Partners whose Contributions represent the specified percentage of the aggregate Contributions of all Limited Partners at the time. Similarly, whenever action is required by this Agreement to be taken by a specified percentage in interest of a specified class or group of Limited Partners such action shall be deemed to be valid if taken upon the written vote or written consent of those Limited Partners of such class or group whose Contributions represent the specified percentage of the aggregate Contributions of all Limited Partners of such class or group at the time. For these purposes, a Majority-in-Interest shall mean a percentage in Interest in excess of 50%, and Non-Voting Interests, if any, shall not be taken into account. Any limited partner interest in the Partnership, any Parallel Fund held by the General Partner, any Principal, any Affiliate of a Principal or of the General Partner, or any Defaulting Partner shall be deemed a Non-Voting Interest.

## ARTICLE 15 - ADMINISTRATIVE PROVISIONS

### 15.1 KEEPING OF ACCOUNTS AND RECORDS.

#### 15.1.1 **Accounts and Records.**

At all times the General Partner shall cause to be kept proper and complete books of accounts, in which the transactions of the Partnership shall be entered fully and accurately. Such books of accounts shall be kept on the accrual method of accounting. The General Partner shall also maintain: (a) an executed copy of this Agreement (and any amendments hereto) as may be in effect from time to time; (b) the Certificate of Limited Partnership (and any amendments thereto); (c) executed copies of any powers of attorney pursuant to which any document described in clause (a) has been executed by the Partnership; (d) the List of Partners; (e) copies of all tax returns filed by the Partnership for each of the prior five years; and (f) all financial statements of the Partnership for each of the prior three years. Such books and records shall at all times be maintained at the principal office of the Partnership.

#### 15.1.2 **Registers.**

The General Partner shall also cause to be maintained the Statutory Registers at the Partnership's principal office in accordance with the requirements of the Act.

### 15.2 FINANCIAL REPORTS.

#### 15.2.1 **Annual Financial Statements.**

The General Partner shall provide to each Partner, (i) within 180 days after the close of each fiscal year, the audited financial statements of the Partnership for such fiscal year, (ii) within 60 days after the close of each of the first three fiscal quarters of each fiscal year, a brief summary pertaining to the Investments Commencing with the fiscal year in which the Initial

Subscription Date occurs and for each fiscal year thereafter, the Partnership's financial statements shall be prepared in accordance IFRS, and audited by an internationally recognized firm of independent public accountants.

15.2.2 **Annual Tax Information.**

The General Partner shall transmit to each Partner, within 180 days after the close of each fiscal year, a report indicating such Partner's share of all items of income or gain, expense, loss or other deduction and tax credit of the Partnership for such year, as well as the status of such Partner's Partner Account as of the end of such year, and such additional information as such Partner reasonably may request, in a written notice to the General Partner, to enable it to complete its tax returns or to fulfill any other reporting requirements, provided that the General Partner can obtain such additional information without unreasonable effort or expense.

In addition, the General Partner shall use commercially reasonable efforts to cause the Partnership accountants to prepare and deliver, at Partnership expense, to each Partner on a timely basis an information reporting return (K-1) reflecting each Partner's distributive share of all income, gain, loss, deductions, allowances or credits of the Partnership for each Partnership Accounting Year, no later than ninety (90) days after the end of the applicable fiscal year of the Partnership. If there is a dispute as to the content of the Partnership's tax returns, such returns shall be filed as directed by the General Partner (with notice to the Partners contemporaneously with such filing that includes a copy of such tax returns).

**15.3 VALUATION.**

15.3.1 **Valuation of Fund Assets**.

15.3.1.1 The General Partner through the Administrator shall value the NAV of the Partnership as of the close of business on each Calculation Date in accordance and subject to the provisions of this Agreement. Such valuation of assets of the Partnership shall be used and be the base for all purposes and/or each relevant action of the Partnership including distributions in kind.

15.3.1.2 In determining the value of the assets of the Partnership no value shall be placed on the goodwill or name of the Partnership or the office records, files, statistical data or any similar intangible assets of the Partnership not normally reflected in the Partnership's accounting records, but there shall be taken into consideration any related items of income earned but not received, expenses incurred but not yet paid, liabilities fixed or contingent, prepaid expenses to the extent not otherwise reflected in the books of account, and the value of options or commitments to purchase or sell securities or commodities pursuant to agreements entered into on or prior to such Calculation Date.

15.3.2 **Net Asset Value of the Partnership**.

15.3.2.1 The General Partner has delegated to the Administrator the determination of the NAV of the Partnership. In calculating the NAV, the General Partner and the

Administrator may rely on, and will not be responsible for the accuracy of, financial data furnished to it by third parties including automatic processing services, brokers, market makers or intermediaries.

15.3.2.2 The NAV of the Partnership is the value of its gross assets less its gross liabilities. These assets include the sum of all cash, accrued dividend and interest, un-amortized expenses and the value of all investments held by the Partnership. Total liabilities include borrowings (if any), all accrued expenses and fees, and any contingencies (including tax) for which reserves are determined to be required.

15.3.2.3 The NAV shall be determined by the Administrator as at the close of business on each Calculation Date.

15.3.2.4 In calculating the NAV the Administrator shall apply such generally accepted accounting principles.

15.3.3 **Determination of the NAV per Unit**.

15.3.3.1 The NAV per Unit is calculated as at the Calculation Date by dividing the NAV of the Partnership of the relevant class as so calculated by the total number of Units of such class outstanding, and reducing the accrued Performance Fee per Unit, if any.

15.3.3.2 Where different entitlements, costs or liabilities apply in respect of a respective Class of Units held by certain Partners, these are excluded from the initial calculation of the NAV of the Partnership and shall be applied separately to the NAV allocated to such Partners as appropriate.

15.3.3.3 NAV per Unit shall be rounded to the nearest cent or such other amount as the Administrator may determine and the benefit of any such rounding may be retained by the Partnership.

15.3.3.4 The General Partner has delegated to the Administrator the determination of the NAV per Unit.

15.3.4 **Valuation by General Partner.**

Whenever valuation of Partnership assets is required by this Agreement, the General Partner either by itself or through the Administrator shall determine the fair market value thereof in good faith based on consultation with appraising/valuation experts in the field of business of the Partnership and in accordance with this Section 15.3.

15.3.5 **Goodwill and Intangible Assets.**

In determining the fair market value of the assets of the Partnership, no allowance of any kind shall be made for goodwill or the name of the Partnership or of the General Partner, the Partnership's office records, files and statistical data or any intangible assets of the Partnership in the nature of or similar to goodwill. The Partnership's name is used by the

Partnership pursuant to a license from the General Partner or an Affiliate thereof, and the Partnership's goodwill shall, as among the Partners, be deemed to have no value, and no Partner shall have any right or claim individually to the use of the Partnership's name or the goodwill thereof. At the time of the Partnership's final liquidating distribution, the Partnership's name and any goodwill associated with it shall be automatically assigned to whom the General Partner instructs, without any further action by any Partner.

**15.4 PARTNERS' MEETINGS.**

The General Partner may cause the Partnership to hold Partners' meetings, on an annual basis or otherwise, in which it will, *inter alia*, present the Investments of the Fund.

**15.5 NOTICES.**

Except where otherwise specifically provided in this Agreement, all notices, requests, consents, approvals and statements shall be in writing and, if properly addressed to the recipient, shall be deemed given if (a) delivered personally to the recipient; (b) mailed by first class mail (or if sent to or from outside Israel, by airmail), postage prepaid; (c) sent by electronic mail or electronic facsimile transmission; or (d) delivered by a reputable overnight courier service. Notices shall be deemed to be properly addressed, if to the Partnership, at its principal office, and if to any Partner, if addressed to its address, facsimile number or electronic mail address, as applicable, as set forth in the List of Partners, or to such other address or facsimile number as the addressee previously may have specified by written notice given in the manner specified in this Section 15.5 to the Partnership, in the case of the Limited Partners, or to the Limited Partners, in the case of the Partnership or the General Partner. Notices shall be deemed received one Business Day after they are given, sent or delivered, except that notices sent by first class mail or airmail shall be deemed received three Business Days after they are mailed.

**15.6 ACCOUNTING PROVISIONS.**

15.6.1 **Fiscal Year.**

The fiscal year of the Partnership shall be the calendar year.

15.6.2 **Independent Accountants.**

The Partnership's independent public accountants shall at all times be an internationally recognized independent public accounting firm selected by the General Partner. The General Partner may change the Partnership's accountants from time to time.

15.6.3 **Functional Currency.**

The functional currency of the Partnership will be USD. Accordingly, the financial statements of the Partnership and the Contributions required to be made by the limited partners and all distributions to be made to the limited partners will be made in USD.

## 15.7 TAX PROVISIONS.

### 15.7.1 **Payment of Taxes.**

If the Partnership incurs an obligation to pay directly any amount in respect of taxes with respect to amounts allocated repaid or distributed to one or more Partners, including but not limited to withholding taxes imposed on any Partner's or former Partner's share of the Partnership gross or net income and gains (or items thereof), income taxes, and any interest, penalties or additions to tax ("**Tax Liability**"), or if the amount of a payment or distribution of cash or other property to the Partnership is reduced as a result of withholding by other parties in satisfaction of any such Tax Liability:

15.7.1.1 All payments by the Partnership in satisfaction of such Tax Liability and all reductions in the amount of a payment or distribution that the Partnership otherwise would have received shall be treated, pursuant to this Section 15.7, as distributed to those Partners or former Partners to which the related Tax Liability is attributable;

15.7.1.2 Notwithstanding any other provision of this Agreement, subsequent distributions to the Partners shall be adjusted by the General Partner in an equitable manner so that, to the extent feasible, the burden of taxes withheld at the source or paid by the Partnership is borne by those Partners to which such Tax Liability is attributable; and

15.7.1.3 The General Partner in its sole discretion may cause any amount treated pursuant to Section 15.7.1.1 as distributed to any Partner or former Partner at any time that exceeds the amount, if any, of distributions to which such Person is then entitled under this Agreement to be treated as a loan to such Person, and the General Partner shall give prompt written notice to such Person of the amount of such loan. In such event, the General Partner may require the repayment of such loan in a prior written notice of 30 days. If such loan is not repaid within 30 days of notice, it shall bear interest at a rate of 5% per annum, compounded annually, and the General Partner shall be authorized to deduct this amount from future distributions to that Partner, or to take any measures in order to collect such amount. Each Partner covenants, for itself, its successors, assigns, heirs and personal representatives, that such Person shall repay any such loan immediately upon the demand of the General Partner.

### 15.7.2 **Tax Liability.**

The General Partner, after consulting with the Partnership's accountants or other advisers, shall determine the amount, if any, of any Tax Liability attributable to any Partner. For this purpose, the General Partner shall be entitled to treat any Partner as ineligible for an exemption from or reduction in rate of such Tax Liability under a tax treaty or otherwise except to the extent that such Partner provides the General Partner with such written evidence as the General Partner or the relevant tax authorities may require to establish such Partner's entitlement to such exemption or reduction.

### 15.7.3 **Partnership Obligation.**

For purposes of this Section 15.7, any obligation to pay any amount in respect of any Tax Liability incurred by the General Partner or any member of the General Partner with respect to income of distributions made to any other Partner or former Partner shall constitute a Partnership obligation.

15.7.4 **Tax Transparency Reporting**

Each Limited Partner shall provide the General Partner on a timely basis with any documents, tax certifications, financial and other information (collectively "**Tax Reporting Information**") as the General Partner may request in connection with the Partnership's compliance with any legal and tax information reporting and exchange obligations applicable to it under the laws of any applicable jurisdiction (collectively, "**Tax Reporting Obligations**"), including, without limitation, any Tax Reporting Obligations under any U.S. federal state and local laws, regulations or guidance notes that give effect to AEOI.

The General Partner shall have the power to release, report or otherwise disclose to any U.S. federal, state, local or Israeli tax authorities (or any other authority as may be required under the Tax Reporting Obligations) any Tax Reporting Information provided to them by a Limited Partner and any other information it holds in respect of the Limited Partner's investment in the Partnership, in connection with the Tax Reporting Obligations, including, without limitation, in relation to the identity, address, tax identification number, tax status and interest in the Partnership of the Limited Partner (and any of its direct or indirect owners or affiliates).

15.7.5 **Tax Reporting Liabilities**

If a Limited Partner fails to provide the General Partner with any requested Tax Reporting Information on a timely basis and such failure results, or may result, in the Partnership's inability to comply with its Tax Reporting Obligations or if the Partnership is otherwise unable to comply with its Tax Reporting Obligations as a result of the direct or indirect action (or inaction) of a Limited Partner, the General Partner may:

15.7.5.1 require the compulsory withdrawal of some or all of the Limited Partner's interest without notice and may deduct or withhold from the amount payable upon such withdrawal any penalty, debt, withholding or back up tax, costs, expenses, obligations, liabilities or other adverse consequences (collectively, "**Tax Reporting Liabilities**") imposed on the Partnership, any of its Partners and/or any of their respective directors, officers, employees, agents, managers, shareholders and/or partners as a result of such failure, action or inaction by such Limited Partner; and/or

15.7.5.2 re-designate, immediately and without consent, such Limited Partner's interest as belonging to a separate class so that any Tax Reporting Liabilities may be allocated solely to and debited solely from that class.

15.7.6 **Tax Reporting Consistency**

Each Limited Partner shall report the tax items attributable to its participation in the Partnership on its income tax returns in a manner consistent with the tax treatment of such items as reported to it by the Partnership.

15.7.7 **Value Added Tax**

Value added taxes, to the extent applicable to any amounts under this Agreement, shall be borne by the Partnership (including with respect to Management Fees and Performance Fee, to the extent applicable).

**15.8 GENERAL PROVISIONS.**

15.8.1 **Power of Attorney.**

Each Limited Partner by execution of this Agreement constitutes and appoints the General Partner as its true and lawful representative and attorney-in-fact, with full power of substitution, in its name, place and stead, to make, execute, sign, acknowledge and deliver or file (a) all amendments of this Agreement contemplated by this Agreement including, without limitation, amendments reflecting the addition of any Partner, or any action of the Partners duly taken pursuant to this Agreement whether or not such Partner voted in favor of or otherwise approved such action, (b) one or more Subscription Agreements, on behalf of such Limited Partner, between the Partnership and any other Person being admitted to the Partnership as a Limited Partner pursuant to this Agreement, in such form and such other terms and conditions as the General Partner considers, in its sole and absolute discretion, necessary or appropriate, including reference to this Agreement and its novation and agreeing and covenanting with such Person on behalf of such Limited Partner that such Limited Partner will from the effective date of such Subscription Booklet or agreements comply with and observe the terms of this Agreement, (c) any other instrument, certificate or document required from time to time to admit a Partner, to effect the admission of the Partner's assignee as a Partner, or to reflect any action of the Partners provided for in this Agreement (including without limitation, the admission of any Partner to a Parallel Fund), and (d) any other instrument, certificate or document required from time to time to effect the Transfer of a Defaulting Partner's interest; *provided*, *however*, that no actions shall be taken by the General Partner under the power of attorney granted pursuant to this 15.8.1 (i) in bad faith, (ii) in a manner that would subvert its obligations, including with respect to a Limited Partner, under this Agreement, or (iii) that would have any adverse effect on the limited liability of any Limited Partner. The foregoing grant of authority (1) is a special power of attorney deemed coupled with an interest in favor of the General Partner and as such shall be irrevocable and shall survive the death or disability of a Partner that is a natural person or the merger, dissolution or other termination of the existence of a Partner that is a corporation, association, partnership, limited liability company or trust, and (2) shall survive the assignment by the Partner of the whole or any portion of its interest, except that where the assignee of the whole thereof has furnished a power of attorney, this power of attorney shall survive such assignment for the sole purpose of enabling the General Partner to execute, acknowledge and file any instrument necessary to effect any permitted admission of the assignee for the assignor as a Partner and shall thereafter terminate.

15.8.2 **Execution of Additional Documents.**

Each Partner hereby agrees to execute all certificates, counterparts, amendments, instruments or documents that may be required by laws of the various jurisdictions in which the Partnership conducts its activities, to conform with the laws of such jurisdictions governing limited partnerships.

15.8.3 **Binding on Successors.**

This Agreement shall be binding upon and shall inure to the benefit of the respective heirs, successors, permitted assigns and legal representatives of the parties hereto.

15.8.4 **Waiver of Partition.**

Each Partner hereby irrevocably waives any and all rights that it may have to maintain an action for partition of any of the Partnership's property.

15.8.5 **Securities Law Matters.**

Each Partner understands that in addition to the restrictions on transfer contained in this Agreement, it must bear the economic risks of its investment for an indefinite period because the Partnership interests have not been registered under any applicable securities laws of any jurisdiction and, therefore, may not be sold or otherwise transferred unless they are registered under applicable securities laws or an exemption from such registration is available.

15.8.6 **Confidentiality.**

15.8.6.1 A Limited Partner's rights to access or receive any information about the Partnership or its business including, without limitation, (i) information to which a Limited Partner is provided access pursuant to Section 15.2 (ii) financial statements, reports and other information provided pursuant to Section 15.2, (iii) the offering documents for the Partnership, this Agreement, any Subscription Booklet and any other related agreements, and (iv) any information provided to any Limited Partner pursuant to a side letter (together, the "**Partnership Information**"), are conditioned on such Limited Partner's willingness and ability to assure that the Partnership Information will be used solely by such Limited Partner for purposes reasonably related to such Limited Partner's interest as a Limited Partner, and that such Partnership Information will not become publicly available as a result of such Limited Partner's rights to access or receive such Partnership Information.

15.8.6.2 Each Limited Partner acknowledges and agrees that the Partnership Information constitutes a valuable trade secret of the Partnership and agrees to maintain any Partnership Information provided to it in the strictest confidence and not to disclose the Partnership Information to any Person other than to its officers, fiduciaries, employees, agents or consultants who have a business need to know such Partnership Information, who have been informed of the confidential nature of such Partnership Information, and who are, either by the nature of their positions or duties or pursuant to written agreement, subject to substantially equivalent restrictions with respect to the use and disclosure of the Partnership Information as are set forth in this Agreement. With respect to any Limited Partner, the obligation to maintain the

Partnership Information in confidence shall not apply to any Partnership Information (i) that becomes publicly available (other than by reason of a disclosure by a Limited Partner), (ii) the disclosure of which has been consented to by the General Partner in writing, or (iii) the disclosure of which is required by a court of competent jurisdiction or other governmental authority or otherwise as required by law. Before any Limited Partner discloses Partnership Information pursuant to clause (iii), such Limited Partner shall promptly, and in any event prior to making any such disclosure, notify the General Partner of the court order, subpoena, interrogatories, government order or other reason that requires disclosure of the Partnership Information so that the General Partner may seek a protective order or other remedy to protect the confidentiality of the Partnership Information or waive compliance with this Agreement. Such Limited Partner shall also consult with the General Partner on the advisability of taking steps to eliminate or narrow the requirement to disclose the Partnership Information and shall otherwise cooperate with the efforts of the General Partner to obtain a protective order or other remedy to protect the Partnership Information. If a protective order or other remedy cannot be obtained, such Limited Partner shall disclose only that Partnership Information that its counsel advises in writing (which writing shall also be addressed and delivered to the Partnership) that it is legally required to disclose.

15.8.6.3 Each Limited Partner shall promptly notify the General Partner if it becomes aware of any reason, whether under law, regulation, policy or otherwise, that it or any of its equity holders will, or might become compelled to, use the Partnership Information other than as contemplated by Section 15.8.6.1 or disclose Partnership Information in violation of the confidentiality restrictions in Section 15.8.6.2.

15.8.6.4 Notwithstanding any other provision of this Agreement, the General Partner shall have the right not to provide any Limited Partner, for such period of time as the General Partner in good faith determines to be advisable, with any Partnership Information that such Limited Partner would otherwise be entitled to receive or to have access to pursuant to this Agreement (including without limitation pursuant to Section 15.2) or the Act if: (i) the Partnership or the General Partner is required by law or by agreement with a third party to keep such Partnership Information confidential; (ii) the General Partner in good faith believes that the disclosure of such Partnership Information to such Limited Partner is not in the best interest of the Partnership or could damage the Partnership or its business (which may include a determination by the General Partner that such Limited Partner or one or more of its equity holders is disclosing or may disclose such Partnership Information and that the potential of such disclosure by such Person is not in the best interest of the Partnership or could damage the Partnership or its business) or (iii) such Limited Partner has notified the General Partner of its election not to have access to, or to receive such Partnership Information.

15.8.6.5 The Limited Partners acknowledge and agree that: (i) the Partnership or the General Partner and its partners may acquire confidential information related to third parties (e.g., Investments and their related entities) that pursuant to fiduciary, contractual, legal or similar obligations cannot be disclosed to the Limited Partners; and (ii) neither the Partnership nor the General Partner and its partners shall be in breach of any duty under this Agreement or the Act in consequence of acquiring, holding or failing to disclose such information to the Limited Partners so long as such obligations were undertaken in good faith.

15.8.6.6 In addition to any other remedies available at law, the Partners agree that the Partnership shall be entitled to equitable relief, including, without limitation, the right to an injunction or restraining order, as a remedy for any failure by a Limited Partner to comply with its obligations with respect to the use and disclosure of Partnership Information, as set forth in 15.8.6.1 and 15.8.6.2.

15.8.7 **Contract Construction; Headings; Counterparts.**

Whenever the context of this Agreement permits, the masculine gender shall include the feminine and neuter genders, and reference to singular or plural shall be interchangeable with the other. The invalidity or unenforceability of any one or more provisions of this Agreement shall not affect the other provisions, and this Agreement shall be construed and reformed in all respects as if any such invalid or unenforceable provision(s) were omitted or, at the direction of a court, modified in order to give effect to the intent and purposes of this Agreement. References in this Agreement to particular sections of the Act or any other statute shall be deemed to refer to such sections or provisions as they may be amended after the date of this Agreement. Captions in this Agreement are for convenience only and do not define or limit any term of this Agreement. It is the intention of the parties that every covenant, term, and provision of this Agreement shall be construed simply according to its fair meaning and not strictly for or against any party (notwithstanding any rule of law requiring an Agreement to be strictly construed against the drafting party), it being understood that the parties to this Agreement are sophisticated and have had adequate opportunity and means to retain counsel to represent their interests and to otherwise negotiate the provisions of this Agreement. This Agreement or any amendment hereto may be signed in any number of counterparts, each of which when signed by the General Partner shall be an original, but all of which taken together shall constitute one agreement or amendment, as the case may be.

15.8.8 **Applicable Law; Jurisdiction**

This Agreement shall be governed by and construed in accordance with the laws of the State of Delaware, U.S.

Any disputes arising under or in connection with this Agreement may be brought and enforced solely in the courts of Tel Aviv, Israel, and the parties irrevocably submit to the exclusive jurisdiction of such courts in respect of any such action or proceeding. The parties irrevocably waive, to the fullest extent permitted by law, any objection that they may now or hereafter have to the laying of venue of any such action or proceeding in the courts of Tel Aviv and any claim that any such action or proceeding brought in any such court has been brought in any inconvenient forum. Each party hereby irrevocably consents to the service of process of the aforementioned courts in any such action or proceeding by the mailing of copies thereof by registered or certified mail, postage prepaid, to it at its address as set forth herein.

15.8.9 **Letter Agreements.**

Notwithstanding anything in this Agreement to the contrary, the Partnership and/or the General Partner may, in its sole discretion, enter into a letter agreement or

side letter with one or more Limited Partners providing that the terms of this Agreement are amended and/or supplemented with respect to such Limited Partner. Solely with respect to any such Limited Partner, the terms of such letter agreement or side letter shall be controlling, and the terms of this Agreement shall be deemed amended, modified and/or supplemented to the extent required to effectuate the provisions of such letter agreements or side letters. In addition, the terms of any letter agreement or side letter entered into with a Limited Partner shall apply *mutatis mutandis* to any Parallel Fund to which such Limited Partner is admitted as an equity holder or Alternative Investment Vehicle in which such Limited Partner's interest is held directly or indirectly, each to the extent relevant thereto. Other than as amended, modified and/or supplemented by such letter agreement or side letter, this Agreement shall remain in full force and effect with respect to such Limited Partner, and shall remain in full force and effect without any modification with respect to a Limited Partner who is not party to such letter agreement or side letter.

**[REMAINDER OF THIS PAGE LEFT BLANK INTENTIONALLY]**

IN WITNESS WHEREOF, the undersigned have executed this Amended and Restated Limited Partnership Agreement Harel Finance Alternative Hamagen, L.P. as a deed on the day, month and year first above written.

**GENERAL PARTNER:**

Harel Finance Alternative Ltd.
By: _____
Name:
Title:

**LIMITED PARTNERS:**

Harel Finance Alternative Ltd. *On behalf of each Limited Partner set forth on the List of Partners, as attorney-in-fact*

By: _____
Name:
Title: